



Fiscal Push, Monetary Pull

Asia is well on its way to achieving stronger GDP growth of 5.5% in 2026, up from 5.4% in 2025, led by the AI and semiconductor cycle. Against a backdrop of robust exports and investment, domestic value capture varies significantly across economies, while continued fiscal support is increasingly at odds with a broadening monetary-tightening cycle, as higher US rates act as a gravitational force on rates across much of Asia. Although China remains the region's main idiosyncratic story, stronger policy support there also coincides with a difficult property-sector transition.

Juliana Lee

Chief Economist
+65-6423-5203

Kaushik Das

Chief Economist
+91-22-7180 4909

Yi Xiong, Ph.D.

Chief Economist
+852-2203 6139

Junjie Huang

Economist
+65-6423-6699

Deyun Ou

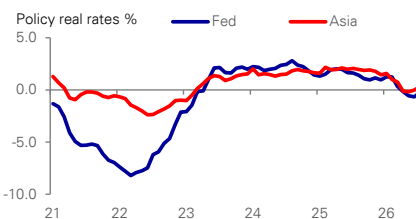
Economist
+852-2203 6166

Figure 1: Asia's growth and inflation momentum above trend



Source : CEIC, Deutsche Bank Research

Figure 2: Real policy rate



Source : CEIC, Deutsche Bank Research

Overview	2
China	3
Hong Kong	6
India	8
Indonesia	13
Malaysia	15
Philippines	17
Singapore	18
South Korea	19
Sri Lanka	21
Taiwan	23
Thailand	25
Vietnam	27
DB Macro Forecasts	29
Growth & Inflation Heatmap	31
EM Asia Macro Charts	32
EM Asia Monetary Policy Monitor	34



Overview

Asia's growth is likely to accelerate to 5.5% in 2026, supported by the AI and semiconductor cycle, surging exports and equipment investment. As in 2025, regional activity continues to surprise on the upside, with Singapore, South Korea and Taiwan continuing to benefit from strong current-account balances, providing an additional buffer for their currencies. Technology is the common growth engine, but domestic value capture remains the key differentiator, with the ASEAN subregion running large trade deficit with China.

South Korea's semiconductor tax windfall is large enough to alter fiscal strategy materially, while Malaysia has converted the technology upcycle into a robust domestic investment cycle. Vietnam continues to attract sizeable FDI, but weakness in the domestic sector leaves its external balance reliant on foreign-invested firms and strengthens the case for deeper technology transfer. Thailand is also attracting FDI, although rising import content and weak domestic manufacturing value added continue to limit the growth multiplier.

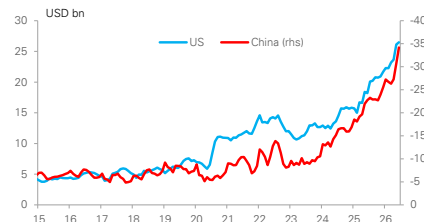
Resilient activity, renewed supply shocks, and upside inflation risks are broadening Asia's monetary-tightening cycle, while higher US rates are acting as a gravitational force on rates across much of the region. This year, Bank Indonesia and the BSP have reversed part of the easing delivered in 2024–25, with another rate hike in the pipeline for the latter, although policy rates at both central banks will remain below their recent peaks despite upside inflation risks from El Niño. The RBI will begin its rate-hiking cycle in Q4, followed by BNM and the BoT in 2027, although their policy rates will also remain below recent peaks. In contrast, after a brief pause in October, the BoK is likely to deliver an extended series of rate hikes, with Taiwan's CBC beginning rate hikes of its own this month; both are expected to see their policy rates rise to levels not seen since 2008.

Fiscal policy is not tightening in parallel, creating an increasingly visible policy mismatch. Governments continue to support households facing cost-of-living pressures, address uneven growth and facilitate AI adoption and integration. This support should sustain demand, but it may also delay disinflation, keep yields elevated and complicate central-bank tightening.

China remains the region's principal idiosyncratic story, as stronger policy support coincides with a difficult property-sector transition. Faster local-government bond issuance, expanded relending facilities and interest subsidies are helping activity stabilise. However, the shift from a pre-sale, high-leverage development model toward completed homes will make the sector more capital-intensive, constrain new starts and weaken the traditional transmission of policy through construction and land sales.

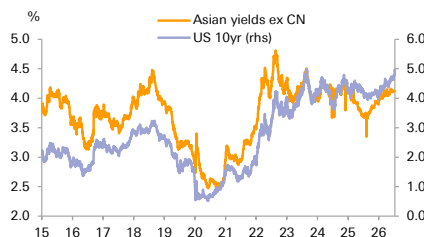
Juliana Lee

Figure 3: ASEAN trade balance with China vs. US



Source : CEIC, Deutsche Bank Research

Figure 4: Asia ex China vs. US 10yr



Source : CEIC, Deutsche Bank Research



China

- China's July activity data remained soft, highlighting the divergence between resilient external demand and sluggish domestic demand. Our estimates suggest that real GDP growth moderated to 4.1% YoY in July from 4.4% in June, remaining below the government's full-year target range of 4.5%-5.0%.
- Policy support now appears to be gaining traction following the pro-growth pivot at the July Politburo meeting. Local government bond issuance accelerated in August, while scope of relending facilities and interest subsidy programmes were also expanded.
- Encouragingly, August PMI data pointed to an early improvement in activity. Trade activities also accelerated from the previous month.
- Inflation improved in August, easing concerns that reflationary momentum had stalled following two consecutive months of decline. We keep CPI forecast unchanged at 1.2%, while revising up our PPI forecast to 3.0% from 2.9%.
- The recent policy package is expected to rewrite China's property model in the long run. However, near-term economic implications will likely be mixed.

*Yi Xiong
Deyun Ou*

Increasing policy support

China's July activity data remained soft, highlighting the divergence between resilient external demand and sluggish domestic demand. Our estimates suggest that real GDP growth moderated to 4.1% YoY in July from 4.4% in June, remaining below the government's full-year target range of 4.5%-5.0%. While exports continued to perform strongly, most domestic indicators weakened. Retail sales, fixed asset investment, industrial production, and services activity all lost momentum. Meanwhile, the modest housing market rebound remained narrowly concentrated in a few Tier-1 cities, with nationwide property sales and investment still hovering near cyclical lows.

Policy support now appears to be gaining traction following the pro-growth pivot at the July Politburo meeting. Local government bond issuance accelerated in August, with special local government bond issuance rising to the highest level since March. Beyond fiscal support, policymakers have expanded relending facilities and interest subsidy programmes to encourage lending and investment in targeted sectors. We continue to expect a further increase in government bond issuance and fiscal spending in the coming months, accompanied by greater use of structural monetary policy tools to support domestic demand.

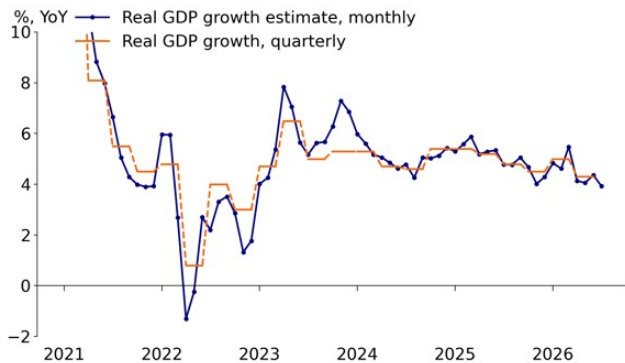
Encouragingly, August PMI data pointed to an early improvement in activity. The headline manufacturing PMI rose by 0.6pt to 49.8, while demand indicators strengthened more noticeably. New orders increased by 2.1pt to 50.6, exceeding the output PMI for the first time in six months. Purchasing activity and import demand also improved. While continued strength in external demand remained an important contributor, the breadth of the rebound suggests that domestic demand may also be stabilizing.

Externally, China's exports and imports both accelerated in August. As typhoon-related disruptions faded, exports and imports growth rebounded to 25% YoY (+1.1ppt) and 28.2% YoY (+0.7ppt), respectively. Their July–August averages both



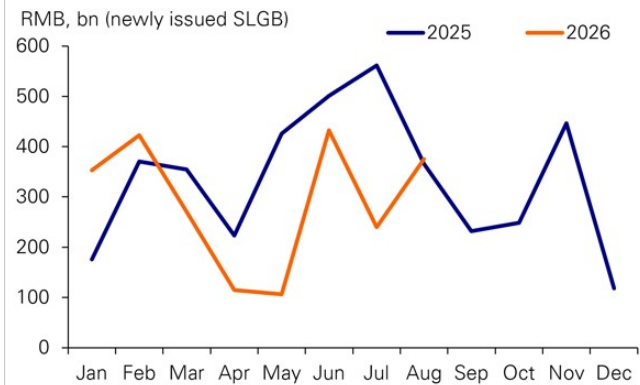
exceeded their Q2 averages, pointing to sustained growth momentum. The seasonally-adjusted trade surplus also reached a record high of USD 112.8bn.

Figure 5: Our estimates suggest that real GDP growth moderated to 4.1% YoY in July from 4.4% in June



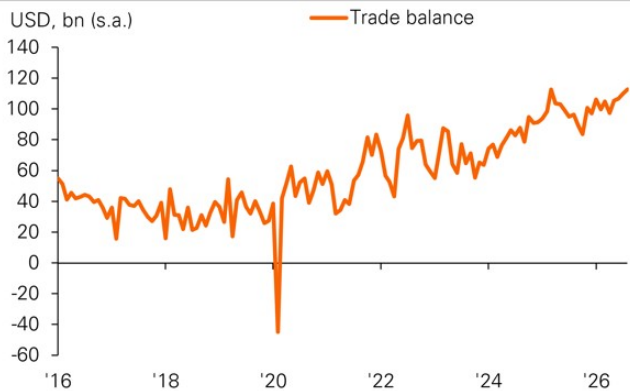
Source : Deutsche Bank Research, Wind

Figure 6: Local government bond issuance accelerated slightly in August



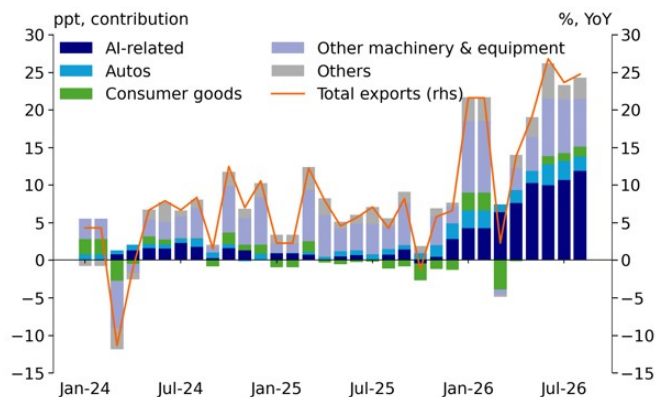
Source : Deutsche Bank Research, Wind

Figure 7: The seasonally-adjusted trade surplus also reached a record high of USD 112.8bn



Source : Deutsche Bank Research, Haver Analytics

Figure 8: AI-related products made a larger contribution



Source : Deutsche Bank Research, Haver Analytics

Inflation rebounded

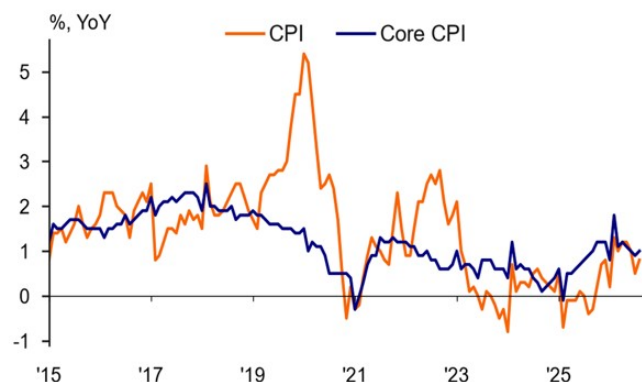
China's consumer and producer inflation both rose in August, easing concerns that reflationary momentum had stalled following two consecutive months of decline. Headline CPI rebounded to 0.8% YoY, supported by higher fuel and gold prices, firmer services inflation, resilient AI-related demand, and a continued recovery in pork prices. PPI also accelerated to 3.8% YoY, with price gains broadening across most industrial sectors.

We keep our 2026 CPI forecast unchanged while we revise up PPI forecast slightly. For CPI, while service prices and AI-related categories remain resilient, other consumer goods continued to face headwinds from weak domestic demand. We keep our CPI forecast unchanged at 1.2% YoY. For PPI, renewed flare-ups in the Iran conflict have pushed oil prices back to elevated levels. If tensions persist and oil prices remain volatile, inflation expectations among producers could be lifted. Under this scenario, the impact to PPI is likely to linger longer, albeit unlikely to be



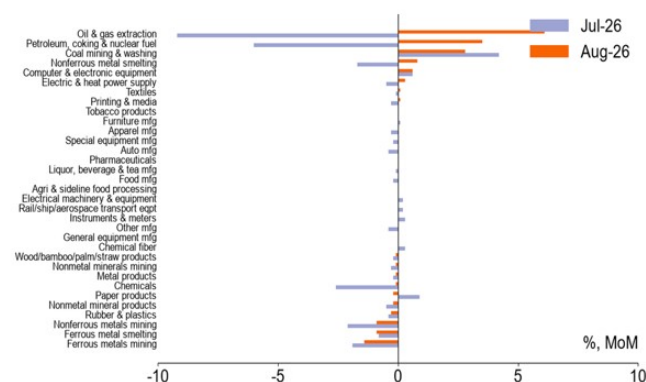
as significant as it was during March-May. We therefore revise our PPI forecast to 3.0% YoY from 2.9%.

Figure 9: Headline and core inflation improved



Source : Deutsche Bank Research, Wind

Figure 10: PPI also accelerated to 3.8% YoY, with price gains broadening across most industrial sectors



Source : Deutsche Bank Research, Wind

Rewriting the property model

The recent policy package is expected to [rewrite China's property model](#). On August 28, five central authorities—the PBOC, NFRA, Ministry of Housing and Urban-Rural Development, Ministry of Natural Resources and CSRC—jointly released rules covering land acquisition, project financing, construction, pre-sales, mortgage disbursement and capital-market financing. The measures could end the high-leverage, high-turnover development model that has shaped the sector since the early 2000s.

At the core of the reform are two major changes. First, China is shifting from the traditional pre-sale, high-leverage development model toward a completed-home model, requiring developers to rely more on their own capital and longer-term financing while reducing dependence on rapid sales turnover. Second, homebuyer protection is being significantly strengthened through tighter supervision of pre-sale funds, later mortgage disbursement, completed-home delivery, and title registration upon handover. Together, these measures aim to reduce delivery risks for homebuyers while fostering a more sustainable, quality-focused property sector.

The near-term economic implications will likely be mixed. Lower monthly payments and reduced delivery risk should support new home sales. Tighter financing requirements, however, will likely constrain new housing projects, weighing on property investment and local-government land-sale revenue.

The longer-term goal is a slower, more quality-driven and sustainable property sector. Projects will become more capital-intensive, and developers will compete more on individual-project quality and less on corporate scale. Homebuyers should benefit from safer purchases and more reliable delivery, while financial institutions take a larger role in financing projects and managing risk. The remaining challenge is how local governments can replace the loss of land-sale revenue.



Hong Kong

- The Hong Kong government is set to release its annual Policy Address alongside the Five-Year Plan on 16 September. The FYP represents the first systematic medium- to long-term development blueprint in Hong Kong's history and marks a key step in aligning the city's strategic priorities with China's 15th FYP.
- Hong Kong's real GDP expanded by 4.3% YoY in Q2, supported by strong private investment and exports. The Hong Kong government revised up its full-year GDP growth forecast to 3.5%-4.5%, from 2.5%-3.5% previously.
- The property market experienced some pullback in July, with transaction volumes and prices growth moderating. However, we view this as a temporary correction rather than a reversal of the broader trend.

*Yi Xiong
Deyun Ou*

The first Five-year-plan to be released

The Hong Kong government is set to release its annual Policy Address alongside the Five-Year Plan on 16 September. The FYP represents the first systematic medium- to long-term development blueprint in Hong Kong's history and marks a key step in aligning the city's strategic priorities with China's 15th FYP. We believe several areas warrant particular attention.

- **Northern Metropolis project.** It is expected to become one of the largest infrastructure and urban development projects in Hong Kong's history. Key questions include the implementation timetable and how the government plans to attract and cultivate high-value industries. Policy incentives, talent programmes, and cross-border integration with Shenzhen will also be important indicators of the project's long-term viability.
- **Offshore RMB market.** Hong Kong's offshore RMB market has expanded rapidly this year. Dim sum bond issuance has reached RMB1.35tr, exceeding the full-year total for 2025. We will focus on how the FYP proposes expanding the range of RMB investment products, such as RMB-denominated commodities, green finance instruments, and other cross-border investment vehicles. Another key issue is whether HKMA and the PBOC will establish a more institutionalized liquidity coordination framework.
- **Chinese companies' "Going Global".** Hong Kong is increasingly positioning itself as a platform for Chinese companies expanding overseas. Newly registered companies reached a record high in 2026. We will pay close attention to measures aimed at facilitating commercial links with ASEAN, the Middle East, and Central Asia. Potential initiatives could include expanding Hong Kong's overseas economic and trade office network, and enhancing financial, legal, and professional services that support outbound investment.
- **Outlook for 2027 economy.** We expect the government to set a GDP growth target of around 3.0%-3.5%, reflecting a more constructive outlook for the property market and financial sector activity. On fiscal policy, we expect an expansionary stance to remain in place. Stronger economic performance this year has significantly improved fiscal revenues, providing greater room for policy support and infrastructure investment over the coming years.

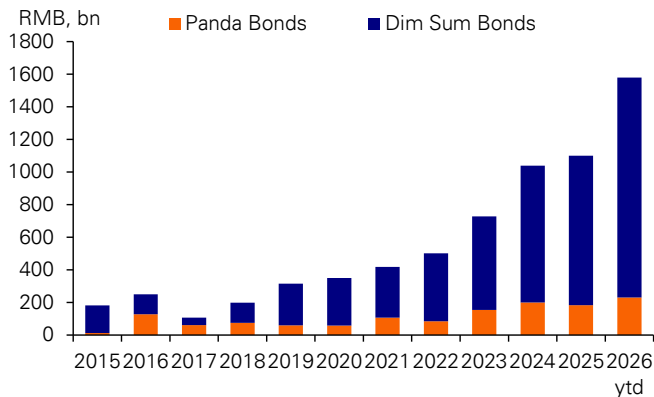
On the economy, Hong Kong's real GDP expanded by 4.3% YoY in Q2. Private consumption softened, reflecting the impact of higher oil prices and increased financial market volatility. However, private investment surged by 19% YoY,



accelerating by 9ppt from Q1 and contributing 2.2ppt to overall GDP growth. It was partly driven by the accelerated implementation of the Northern Metropolis project. Meanwhile, net exports' negative contribution narrowed substantially to -1.2ppt from -9.0ppt in Q1, as exports surged in Q2 amid strong AI-related demand. Against this backdrop, the Hong Kong government revised up its full-year GDP growth forecast to 3.5%-4.5%, from 2.5%-3.5% previously. Our forecast of 4.0% sits at the midpoint of the official range.

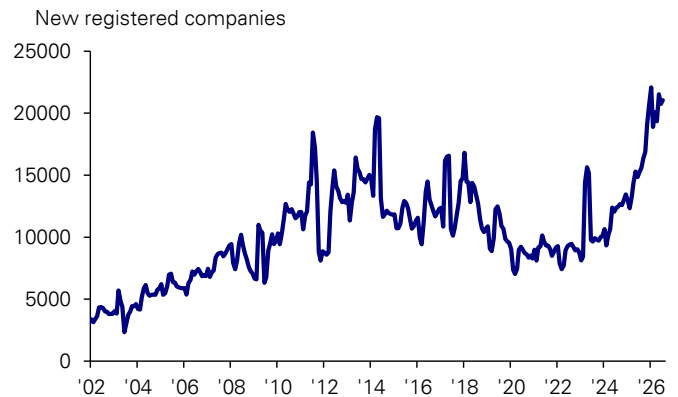
The property market experienced some pullback in July. Transaction volumes declined, while growth in home prices also moderated. However, we view this as a temporary correction rather than a reversal of the broader trend. Underlying economic fundamentals remain supportive, and rental growth has continued to strengthen. The Centa-City Leading Index also suggests renewed momentum in August.

Figure 11: Dim sum bond issuance has reached RMB1.35tr, exceeding the full-year total for 2025



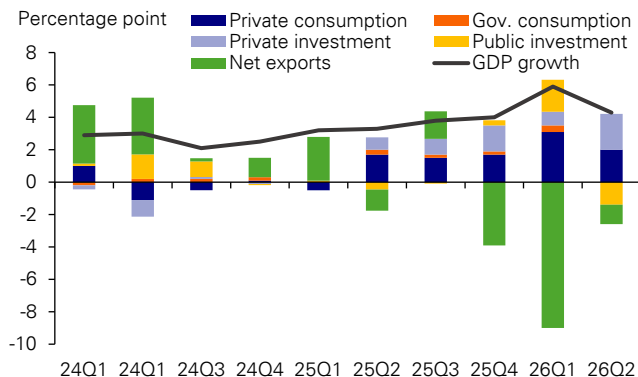
Source : Deutsche Bank Research, Wind

Figure 12: New registered companies reached a historical high in 2026



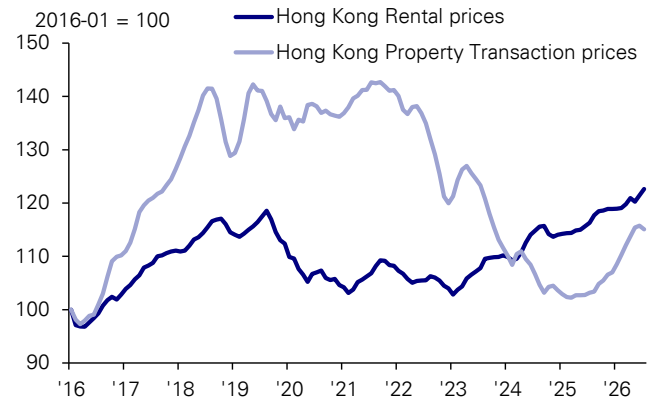
Source : Deutsche Bank Research, CEIC

Figure 13: Q2 GDP rose by 4.3% YoY, support by strong private investment and exports



Source : Deutsche Bank Research, CEIC

Figure 14: Housing prices growth moderated in July



Source : Deutsche Bank Research, CEIC



India

- April-June'26 real GDP grew 7.8%yoy, 50 bps higher than our and Bloomberg consensus estimate of 7.3%yoy. Post the April-June'26 GDP data, we are revising up FY27 real GDP growth estimate to 7.3%yoy, from 6.7%yoy earlier, while maintaining our FY28 growth forecast at 7.2%yoy.
- We continue to forecast FY27 CPI inflation at 4.9%, due to risks from a sub-normal monsoon.
- Post a dovish policy statement on 5th August, we had [postponed](#) our rate hike call to commence from Dec'26, which remains our base case scenario at this stage, but after this strong GDP print, we think October meeting will be live as well. We will reassess our rates call once the August CPI data is out and post the mid-September FOMC decision.
- We maintain our call for 100bps of cumulative rate hikes in the current cycle, with the repo rate rising to 6.25% by end-3Q27.
- The rupee has stabilized for now, thanks to the large capital inflows through FCNR(B) scheme announced in the 8 June policy ([India attracted USD 127.2bn of FCNR\(B\) inflows](#)) with the scheme ending in August.

Kaushik Das

Rate hikes are coming

On 31st Aug, the CSO released India's April-June'26 GDP data.

Key highlights:

* April-June'26 real GDP grew 7.8%yoy, 50 bps higher than our and Bloomberg consensus estimate of 7.3%yoy. This is lower than the upward revised 8.6%yoy (from 7.8%yoy reported earlier) growth recorded in Jan-March'26. Latest national accounts data show that despite the West Asia crisis, India's economic momentum remained broadly resilient, with GDP growth coming much stronger than what was anticipated at the start of the crisis.

* April-June'26 real GVA grew 8.2%yoy, significantly higher than our and Bloomberg consensus estimate of 7.3%yoy. This compares with an upward revised 8.7%yoy (7.9%yoy reported earlier) growth recorded in Jan-March'26.

* April-June'26 nominal GDP grew 10.3%yoy, while nominal GVA was higher at 11.5%yoy. We had expected nominal GDP growth to be higher, closer to 12-13%yoy, as WPI and CPI inflation averaged 9.4%yoy and 3.9%yoy, respectively, during the quarter (vs. 2.4% and 3.1% in Jan-March'26).

Real GVA trend (April-June'26)

Manufacturing sector real GVA growth rebounded to 9.2%yoy in April-June'26, after moderating to 7.9%yoy in Jan-March'26, from 9.0%yoy in Oct-Dec'25 and 10.0%yoy in July-Sep'25. Electricity growth was also stronger at 8.9%yoy vs. 4.8%yoy in Jan-March'26; while mining sector real GVA declined -2.4%yoy in April-June'26 (-2.9%yoy in Jan-March'26). Construction sector growth momentum also moderated to 7.7%yoy in April-June'26, from 8.7%yoy in Jan-March'26 and 7.0%yoy in Oct-Dec'25. Financial/real estate/professional services growth momentum remained strong (12.1%yoy), along with public administration (7.5%yoy), while moderating in the case of trade/hotel/transport (8.5%yoy vs. 12.9%yoy) in April-June'26 vs. Jan-March'26. Agricultural sector growth remained moderated a tad to 3.6%yoy in April-June'26, from 3.9%yoy in Jan-March'26.



Real GDP trend (April-June'26)

In April-June'26, private consumption growth moderated a tad to 7.1%yoy (from 7.5%yoy in Jan-March'26), while investments accelerated, coming in at 11.9%yoy vs. 10.5%yoy in Jan-March'26. This was not surprising as, over April-June, non-oil imports expanded nearly 19%yoy, and non-oil-non gold imports, a proxy for domestic demand were up 17%yoy in nominal terms. Government consumption expenditure was lower at 4.3%yoy in April-June'26 vs. 7.7%yoy in Jan-March'26 and 7.0%yoy in Oct-Dec'25, while net exports added +3.0% to growth, with exports growth of 12.0%yoy exceeding imports growth of -1.1%yoy.

Overall, consumption expenditure (private + government) moderated to 6.7%yoy in April-June'26, from 7.5%yoy in Jan-March'26 and 7.9%yoy in Oct-Dec'25, while consumption + investment growth was steady at 8.4%yoy in April-June'26.

FY27 real GDP growth forecast revised up to 7.3%yoy

Before the release of the April-June'26 GDP data, median estimate of professional forecasters for FY27 growth was at 6.6%yoy (RBI estimate: 6.7%yoy). We expect this to be revised upward, given the better-than-anticipated April-June'26 outturn.

Post the April-June'26 GDP data, we are revising up FY27 real GDP growth estimate to 7.3%yoy, from 6.7%yoy earlier, while maintaining our FY28 growth forecast at 7.2%yoy. While sub-normal monsoon rains will likely result in lower agricultural GDP growth compared to last fiscal year, the non-farm sector momentum is likely to remain sufficiently buoyant to allow a 7%+ growth trajectory in FY27, in our view.

FY27 CPI inflation likely to average 4.9%

In the August policy, the RBI revised its CPI inflation forecast by 10bps to 5.0% from 5.1%. It also published forecasts for Apr-Jun'27 CPI inflation of 5.3%, respectively. The RBI's quarterly CPI inflation profile for FY27 is 4.7% in Jul-Sep'26, 5.9% in Oct-Dec'26 and 5.5% in Jan-Mar'27. August CPI is currently tracking 4.6-4.7%, with core inflation close to 4.0%. The RBI highlighted rainfall disruptions from El Niño and uncertainty in global energy prices as key risks to the inflation outlook. **We continue to forecast FY27 CPI inflation at 4.9%, due to risks from a sub-normal monsoon.** As per our forecasts, core inflation and core CPI ex precious metals is expected to average at 4.0% and 3.1%, respectively. RBI's forecast of FY27 core CPI inflation is 4.3% and core inflation excluding precious metals is projected to be lower, though it is likely to align with core inflation from 4Q'27.

Monetary policy implications: 7%+ real GDP growth + 5% CPI inflation indicate terminal repo rate of 6.0-6.25%

The RBI's quarterly CPI inflation profile for FY27 is 4.7% in Jul-Sep'26, 5.9% in Oct-Dec'26, 5.5% in Jan-Mar'27 and 5.3%yoy in April-June'27. This implies that real policy rates would turn negative from Oct-Dec'26 and remain so for at least nine months if the repo rate stays at 5.25%. Such an outcome would be inconsistent with the RBI's previously preferred range for real policy rates of positive 1.4-1.9%.

Indeed, incorporating the RBI's latest growth forecasts for FY27 (6.7%yoy) and Apr-Jun'27 (7.3%yoy) into **a standard Taylor Rule framework, alongside CPI inflation of 5.0%, points to a terminal repo rate of at least 6.25%**, even assuming a positive real policy rate of only 1.25%.



Should the Fed embark on a renewed tightening cycle, India's external constraints would become more binding through capital flows, interest-rate differentials and exchange-rate pressures. In such a scenario, the RBI's challenge would shift from managing a largely supply-driven inflation shock to re-establishing real-rate credibility in an increasingly restrictive global environment. Importantly, several Asian central banks have already resumed tightening, suggesting that relative interest-rate differentials could become increasingly important in sustaining capital inflows.

In the post-policy press conference on 5th August, Governor Malhotra reiterated that monetary policy continues to be guided by headline CPI inflation, although the composition of inflation also matters. Given that the MPC's mandate remains anchored on headline inflation, **we continue to expect the RBI to pivot towards rate hikes in Oct-Dec'26, probably from the Oct'26 policy itself.** Post a dovish policy statement on 5th August, we had [postponed](#) our rate hike call to commence from Dec'26, which remains our base case scenario at this stage, but after this strong GDP print and [hawkish MPC minutes](#), **we think October meeting will be live as well.** We will reassess our rates call once the August CPI data is out and post the mid-September FOMC decision. **We maintain our call for 100bps of cumulative rate hikes in the current cycle, with the repo rate rising to 6.25% by end-3Q27.**

However, **before rate hikes, we expect the RBI to progressively tighten liquidity conditions, initially through variable rate reverse repo (VRRR) operations and subsequently via more durable liquidity-withdrawal measures (letting forwards mature, CRR hikes),** to keep the weighted average call rate (WACR) aligned with the repo rate. In our view, such liquidity normalization could represent the first phase of the tightening cycle, followed by repo rate hikes beginning in Oct-Dec'26.

The rupee has stabilized for the time being, thanks to the large capital inflows through FCNR(B) scheme announced in the 8 June policy. RBI data show that [India attracted USD 127.2bn of FCNR\(B\) inflows](#) with the scheme ending in August. The remaining two schemes (ECBs and OFCBs) will continue until end-Dec'26. Should pressures on the rupee intensify once again because of renewed geopolitical tensions in West Asia, and if the RBI continues intervening in FX markets to limit excessive volatility, the need for active liquidity withdrawal may diminish. However, such a scenario would simultaneously increase the urgency of repo rate hikes to preserve external-sector stability and reinforce policy credibility.

[Don't lose sight of the long-term structural outlook](#)

The next two and a half decades are likely to see India make steady progress towards becoming a developed economy, with that journey having already begun. Indeed, even **before the end of this decade, India is expected to become the world's third-largest economy, behind only the United States and China.** India is also likely to remain the fastest-growing major economy for the foreseeable future, delivering average nominal GDP growth of 10-11%, supported by favourable demographics, supply-side reforms aimed at boosting productivity, an infrastructure push, trade liberalisation, and a concerted drive towards digitisation and formalisation to make growth more inclusive.

India's per capita income is also set to rise sharply over the coming decades as formalisation, digitisation and urbanisation increasingly deliver the intended economic dividend. While India's primary challenge will be to continue improving supply-side efficiency, many advanced economies will have to contend with demand-side constraints arising from ageing populations, a challenge that may



prove more difficult to overcome.

Financial sector liberalisation, the internationalisation of the rupee and gradual progress towards fuller capital account convertibility are likely to advance over the coming decades, supported by sound and complementary fiscal and monetary policy coordination. At the same time, the growing need for global investors to diversify supply chains and hedge against geopolitical risks, combined with India's favourable structural fundamentals, should support greater foreign investment by multinational corporations in supply chains and greenfield projects.

In recent years, India has accelerated the pace of bilateral and regional trade agreements to reduce overdependence on any single market. These free trade agreements, together with ongoing supply-side reforms, are likely to boost consumption, intensify competition and raise productivity over the coming decades. As India's weighted average tariff rate declines through free trade agreements with key economic blocs, consumers could benefit meaningfully over the medium-term.

Increased competition across industries may also help ease structural inflationary pressures, while productivity-enhancing reforms, such as the consolidation of 29 fragmented labour laws into four labour codes, could help sustain India's high-growth trajectory. Furthermore, given that Indian exporters are also significant importers of intermediate goods and raw materials, lower tariffs could reduce input costs and improve export competitiveness.

One important consideration is the considerable heterogeneity across India's states in terms of demographics, economic performance, social development and health outcomes. For India to achieve developed-economy status, all states must contribute closer to their full potential. This is crucial because growth today remains disproportionately driven by a relatively small number of states, while others continue to underperform relative to their potential. The concept of competitive cooperative federalism will, therefore, need to be embraced more fully, particularly as investors place greater emphasis on state-level performance. States that are more urbanised, rank highly on ease-of-doing-business metrics, possess stronger physical and human capital, perform better on development indicators and maintain fiscal prudence are likely to attract a larger share of investment than their peers.

Another critical issue relates to India's demographic transition. While India as a whole is expected to enjoy a demographic dividend through a growing working-age population and a declining dependency ratio, much of the future increase in population will occur in some of the country's poorest and fiscally constrained states. As the working-age population expands rapidly in these regions, pressure will mount on state governments to create conditions that foster employment generation and attract private investment. Failure to do so could result in a worsening of poverty and human development outcomes.

The scope for fiscal support in these states is also likely to remain limited, given the already stretched nature of their public finances. Moreover, if migration accelerates as workers relocate in search of better employment opportunities, the fiscal position of some of these states could deteriorate further. Outmigration may erode the local tax base, reducing states' own-tax revenues and putting additional pressure on deficits and debt levels.



Against this backdrop, continued progress toward fiscal consolidation, along with focus on factor market reforms – land, labour and capital – therefore, will be essential for these states particularly and for India generally on its quest to achieve the milestone of a developed economy over the next few decades.



Indonesia

- Bank Indonesia is forecast to keep its policy rate unchanged for the rest of 2026, though the return of higher oil prices brings upside risk to inflation and our rates view.
- Our forecast for the 2027 budget deficit is unchanged at 2.9% of GDP, wider than the government's 2.4% target. This wider projection reflects an expected combination of revenue shortfalls and increased spending, alongside our lower GDP growth forecast of 5.3% vs the government's target of 6%.

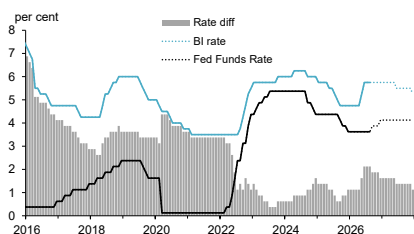
Junjie Huang

Higher oil, cautious Hold

Our prevailing view is for Bank Indonesia to maintain a [cautious Hold](#) on its policy rate for the rest of 2026, after it unexpectedly kept its policy rate at 5.75% in its July meeting, against our and consensus' forecast of a 25bp hike. In Governor Destry's inaugural meeting in August, BI kept its stance on pro-growth macroprudential policy, ample liquidity, and currency stabilization that had been communicated in the past couple of meetings. The central bank also mentioned that "incentives are more effective at attracting foreign inflows and managing the exchange rate" than raising the policy rate at this time.

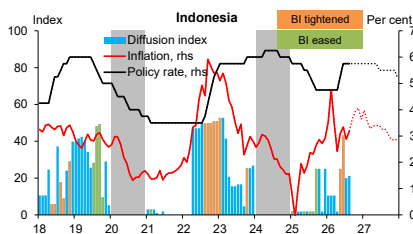
Nonetheless, the external environment remains fragile: Brent crude is now above USD100/b, while DB expects the Fed to raise rates in Sep and Dec'26 which would compress rate differentials. (Figure 15) The rise in oil prices does not directly affect our outlook for inflation and rates, as fuel subsidies remain in place to contain the spillovers. However, persistently elevated energy prices would erode fiscal buffers. **We estimate that total fuel subsidies in Jan-Aug'26 YTD are ~0.9% of GDP (Rp235tn), against the initial full-year allocation of 0.8% (210tn).** Against the constraint of the 3% fiscal deficit limit, the government may have to raise the prices of subsidized fuel, as it did in Sep'22. Subsidized fuel prices were raised by 30% on average then, which compelled BI to immediately tighten monetary policy as headline inflation rose 1.5pp to 5.9% in the same month. (Figure 16)

Figure 15: Narrower rate differential by Q1'27



Source : Deutsche Bank Research, Haver Analytics

Figure 16: Inflation vs Policy rate



Source : Deutsche Bank Research, Haver Analytics

We forecast headline inflation in 2026 at 3.5% (Jan-Aug'26 YTD: 3.3%). Inflation could breach the top end of BI's 1.5-3.5% target in Q4'26 (DB forecast: 3.9%) as El Niño adds pressure on food prices, while we also price in some impact from the return of higher energy costs and weather woes (El Niño, peatland fires, Mount Krakatau eruption) on domestic inflation.



We update our USD/IDR forecast to 17,800 by end-2026 (previous: 18,200), as the rupiah has benefited from the [softer USD](#) outlook. That said, trade balance dynamics and narrower rate differentials could put some pressure on the currency toward 18,000 in early-2027.

- Low subsidized fuel prices have kept domestic energy demand and in turn energy imports elevated ([Figure 17](#)), and would continue as long as domestic prices are unchanged. Meanwhile, export uncertainty continues amid the rollout of DSI, and Indonesia's planned B60 biodiesel mandate in 2027 could further dampen palm oil exports, one of the economy's key commodities.

Figure 17: H1'26 realization of subsidies

Subsidized Goods	Semester I Realization	Growth
Fuel Volume (thousand KL)	79,89.5 7,410.1	▲ 7.8%
3 Kg LPG Volume (million kg)	3,563.0 3,494.0	▲ 2.0%
Subsidized Electricity Customers (million customers)	43.1 42.2	▲ 2.1%
Fertilizer Volume (million ton)	4.5 3.7	▲ 21.4%
KUR Debtors (million debtors)	2.4 2.3	▲ 3.6%

Source: Ministry of Finance

Figure 18: Indonesia fiscal outlook

% of GDP	2025	2026F	2026F (DB)	2027F	2027F (DB)
Revenue	11.6	12.9	11.7	12.2	11.9
- Tax	9.3	10.2	10.1	10.4	10.1
- Non-tax	2.3	2.7	1.6	1.8	1.8
Expenditure	14.4	15.3	14.6	14.6	14.8
- Central govt	10.9	12.6	11.9	12.0	12.2
of which: Interest payments	2.2	2.3	2.3	2.3	2.3
- Trns to regions	3.6	2.7	2.6	2.6	2.6
Balance	-2.8	-2.4	-2.9	-2.4	-2.9
GDP Growth	5.1	5.6 - 6.0	5.2	6.0	5.3

Source: Deutsche Bank Research, Ministry of Finance

Budget outlook

Our forecast for the 2027 budget deficit is unchanged at 2.9% of GDP, wider than the government's 2.4% target ([Figure 18](#)). This wider projection reflects an expected combination of revenue shortfalls and increased spending, alongside our lower GDP growth forecast of 5.3% vs the government's target of 6%. (see [Indonesia: Budget and Supply outlook](#) for details)

- The official 2027 budget projects a **nearly flat primary balance deficit of IDR 21 trillion (~0.1% of GDP)**, notably smaller than the 150tn average in 2025-26. At face value, this implies a **lower fiscal impulse**.
- Achieving 6% GDP growth will require more fiscal support than currently budgeted, in our view, given a muted [private sector](#) recovery.** Private consumption and household sentiment must recover strongly to complement the deployment of major public investment projects. However, households and businesses will likely require further support heading into 2027. The El Niño phenomenon is projected to peak only in Q4'26, and its compounding impact alongside the global energy shock could mean that the private sector's recovery process would stretch well into 2027, keeping household and business sentiment fragile.
- Growth momentum into next year would likely be underpinned by public investment**, led by Danantara's continued deployment of its capital across the administration's priority sectors, including energy and food security, and natural resource downstreaming.
- We note **upside risk to growth if this manages to crowd in private sector participation**—and in turn a **potentially smaller deficit than we project**—but this is not yet part of our baseline.



Malaysia

- 2Q'26 real GDP growth accelerated to 6.0%yoy, from an already strong 5.4%yoy outturn in 1Q'26, which has prompted us to revise up Malaysia's 2026 and 2027 full year growth to 5.4% and 5.1% respectively, from 4.5% and 4.7% earlier.
- BNM kept its policy rate unchanged in the September policy, as expected, extending its wait-and-see approach while signaling increased confidence in the growth outlook. We expect BNM to raise rates by 25bps in 2027, taking the OPR back to 3.0%.
- The combination of strong growth, low inflation, a stable currency, healthy reserve buffers, and continued participation in the global technology cycle positions Malaysia as one of the more attractive macro stories in emerging Asia for now.
- Given the mixed state election results, along with strong growth and low inflation, the probability of general elections being held closer to late-2027 rather than in the near term appears to have increased, supporting policy continuity and political stability, in our view.

Kaushik Das

Strong growth, anchored inflation

Bank Negara Malaysia (BNM) kept the Overnight Policy Rate (OPR) unchanged at 2.75% in its [3 Sep policy](#), in line with our expectations, extending its wait-and-see approach while signaling increased confidence in the growth outlook. The key message from the September MPC statement is that Malaysia remains one of the stronger-performing economies in the region, benefiting from the global technology upcycle, resilient domestic demand, and a recovery in tourism.

Unlike earlier statements which highlighted growth within the official 4-5% forecast range, BNM now explicitly expects 2026 GDP growth of around 5%, reflecting stronger-than-expected export performance and robust domestic activity. The MPC believes these favorable dynamics should continue into 2027, supported by sustained demand for electrical and electronics (E&E) exports, strength in technology-related manufacturing, ongoing investment realization, and stable labor market conditions. The central bank estimates that the economy expanded 5.7%yoy in 1H26, a pace that compares favorably with most regional peers. **2Q'26 real GDP growth accelerated to 6.0%yoy, from an already strong 5.4%yoy outturn in 1Q'26, which has prompted us to revise up Malaysia's 2026 and 2027 full-year growth to 5.4% and 5.1%, respectively, from 4.5% and 4.7% earlier.**

The policy statement reinforces our view that Malaysia remains a key beneficiary of the global AI and semiconductor investment cycle. External demand continues to be driven not only by traditional E&E exports but also by expanding technology-related non-E&E exports. Tourist arrivals and spending are also providing an important tailwind to services activity. While BNM acknowledges downside risks from a prolonged Middle East conflict and reduced commodity production, the balance of its language suggests that policymakers are increasingly comfortable with the growth trajectory. Importantly, the statement does not indicate concern that growth is becoming excessively strong or generating overheating pressures. Rather, policymakers view Malaysia's strong fundamentals, ongoing investment pipeline, and export competitiveness as supporting sustainable expansion.



Inflation remains unusually benign given the strength of economic activity. Headline inflation averaged 1.8%yoy in January-July 2026, while core inflation averaged 2.0%yoy, both remaining comfortably within BNM's implicit comfort zone. **Our forecast is for headline CPI averaging 2.0% in 2026 and 1.7% in 2027.** Policymakers acknowledge that global commodity prices and energy costs have increased following geopolitical tensions, but emphasize that pass-through into consumer prices has been limited by domestic policy measures, stable demand conditions, and only modest wage spillovers from export sector strength. Nevertheless, the MPC retains a cautious tone on future price pressures, highlighting uncertainty surrounding Middle East developments and the risk that elevated commodity prices could eventually filter into domestic costs. For now, however, inflation remains sufficiently anchored to justify a neutral policy stance.

Overall, the statement suggests that BNM seems comfortable with its current monetary stance. With growth running above trend and inflation remaining contained, the current 2.75% OPR is viewed as consistent with both price stability and sustainable growth. The central bank's communication remains balanced, but the upward revision of growth expectations stands out as the most important development from this meeting. Unless geopolitical shocks materially weaken global demand or commodity-driven inflation unexpectedly accelerates, BNM appears likely to remain on hold for the rest of 2026. **We expect BNM to keep the OPR at 2.75% throughout 2026, and hike rates by 25bps in 2027.**

Fiscal consolidation remains gradual, and government finances continue to improve amid stronger revenue collection and sustained investment spending. The federal fiscal deficit is expected to remain on a narrowing trajectory toward the government's medium-term target, while public investment and industrial policy initiatives continue to support private-sector capital expenditure. However, **given the continuation of the West Asia crisis, we expect fiscal deficit for 2026 to be slightly higher at 3.7% of GDP vs. BE of 3.5% of GDP.**

Externally, the ringgit has benefited from strong export performance, favorable portfolio inflows into the technology sector, and a stable domestic macro environment. Assuming the West Asia conflict stabilizes over the next few months, the MYR will likely continue its appreciation once again vs. USD. **Our year-end target for MYR remains at 3.90.** The international reserves of BNM amounted to USD 132.7 bn on 14 Aug vs. USD 127.9 bn as of 13 February 2026. Bank Negara's international reserves remain ample, providing substantial buffers against external volatility and helping underpin confidence in the currency. Combined with a sizable current-account surplus driven by E&E exports and tourism receipts, Malaysia's external position remains among the strongest in ASEAN. In our view, **the combination of strong growth, low inflation, a stable currency, healthy reserve buffers, and continued participation in the global technology cycle positions Malaysia as one of the more attractive macro stories in emerging Asia for now.**

The recent state elections, which delivered a mixed set of results, are likely to reduce incentives for an early federal poll, in our view. The mixed results, combined with solid economic growth and improving investment inflows, suggest that the current government is most likely to capitalize on favorable macroeconomic conditions before seeking a renewed mandate. As a result, **the probability of general elections being held closer to late-2027 rather than in the near term appears to have increased, supporting policy continuity and political stability, in our view.**



Philippines

- Since our last monthly update in July, we have: (1) [downgraded](#) our 2026 GDP growth forecast to 3.5% (previous: 3.7%); (2) lowered our 2026 inflation forecast to 5.5% (previous: 6%); and (3) [shifted](#) our call for BSP's final hike to Feb'27 post the August MB meeting, from Oct'27 before. We also met with local corporates, MNCs, and investors in Manila in early-September, when we found that the [topmost concern onshore](#) was the weaker peso. Meanwhile, the [2027 budget bill](#) is making its way through the Congress, with the administration proposing a budget deficit of 5.0% of GDP (DB: 5.1%). We provide a summary of our views below.

Junjie Huang

Manila trip notes

We met domestic corporates, MNCs and investors in Manila earlier this week. While local corporate sentiment was, on balance, neutral, high-frequency data support our decision to keep our GDP growth forecasts unchanged at 3.5% for this year. **However, we have revised our USD/PHP forecast to 62 (from 61) to account for near-term headwinds, even as stable structural flows support our constructive medium-term view on the peso.** The currency could range between 61.5-62.5 per USD in 2027, amid our expectation of a broadly balanced BoP picture in the period ahead.

The peso's recent weakness can partially be explained by **the Philippines having one of the lowest real interest rates across peer economies**, ([Figure 19](#)), while BSP Governor Remolona expressed that the central bank is "hoping that (it) won't need another rate hike", which implies Philippines' real interest rates could continue to be in the current range this year. That said: (1) potential softness in the USD, (2) broadly stable net FDI and bond inflows from GBI-EM inclusion, (3) a stabilizing goods trade deficit, (4) resilient remittance inflows, (5) robust IT-BPM and professional services sector activity, should provide support for the peso in the months ahead.

BSP outlook

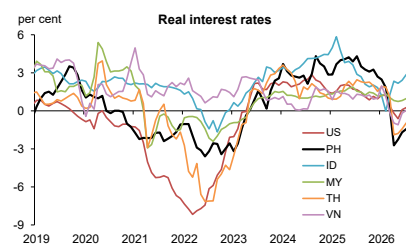
The Bangko Sentral ng Pilipinas raised its policy rate by 25bp to 5.00% on 27 August, in line with expectations. BSP's guidance in the post-meeting press conference suggests a reluctance to tighten further in the immediate term as it shifts its focus toward supporting growth. **We keep our call for a further 25bp hike as BSP's inflation forecasts are still above-target in 2026-27, but move it to February 2027 from October 2026 previously**, as we think BSP would prefer to watch for potential changes in inflation expectations or second-round effects from earlier shocks before making its next move.

Given BSP's elevated inflation forecast of 6.1% in 2026 compared to our own of 5.5%, we think there is a higher probability that it would tolerate inflation surprising to the upside (relative to our view) without immediate further tightening. This suggests the conditions for the final hike may not materialize until early-2027, and even then, only if inflation exceeds 5-6% by a significant margin. Our Q1'27 inflation forecast is 5.1% YoY.

Budget outlook

Our forecast for the 2027 budget deficit is 5.0% of GDP, slightly narrower than the government's 5.1% target. This is underpinned by a more constructive revenue outlook; tax receipts could be more resilient than expected as GDP growth is

Figure 19: Philippines real interest rates among lowest across peers



Source : Deutsche Bank Research, Haver Analytics



forecast to rebound to 5.8% in 2027 from 3.5% in 2026. Public infrastructure projects are expected to get back on track, while a gradual recovery in consumer and private sector sentiment, as well as a normalization in remittance growth to ~3% next year, should support overall growth within the government's 5-6% target.



Singapore

- We upgraded our growth forecasts for both 2026 and 2027 to 5.2% and 2.9%, respectively, from 4.8% and 2.2% prior. Early H2'26 data suggest that economic activity is sustaining its strong momentum this year, while stronger incomes would likely provide some tailwinds for consumption next year.
- We expect another "very slight" 25bp increase in the S\$NEER slope from the MAS in the Oct'26 meeting, as growth-inflation dynamics are evolving according to our baseline.

Junjie Huang

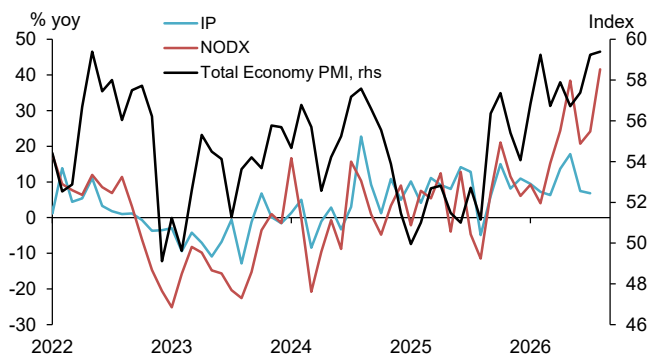
Stronger growth reinforces view on further policy tightening

We upgrade our 2026 GDP growth forecast to 5.2%, as early Q3 data suggest sustained momentum in economic activity, rendering our prevailing 4.8% forecast too low. Singapore's Total Economy PMI rose to 59.4 in August, the highest since May'22 and rising further from 59.2 in July and 57.5, on average, in H1'26. [\(Figure 20\)](#) **We also revise our 2027 growth forecast to 2.9% (previous: 2.2%)**, underpinned by stronger domestic consumption amid the likely boost in real income from robust growth this year, alongside continued investment growth in AI and as the strategic Singapore-Johor SEZ is launched in Q4'26.

- Full-year 2026 growth would record 4.7%, even if there were 0% QoQ growth, on average, in H2'26, which is unlikely given the strength in Singapore's trade-related data in July-August.
- Singapore's policymakers earlier in August upgraded the official forecasts for 2026 [GDP growth](#) to 4.5-5.5% (previous: 2-4%) and [Non-Oil Domestic Exports](#) to 14-16% (previous: 3-5%).

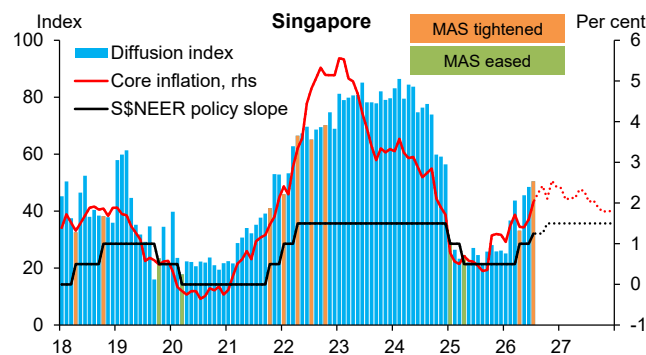
Meanwhile, Singapore's core inflation is evolving, according to our [baseline](#). Price pressures are expected to continue their gradual broadening, with core inflation ranging between 2-2.5% in Aug-Dec'26. [\(Figure 21\)](#) **We expect another "very slight" 25bp increase in the S\$NEER slope to 1.5% p.a. from the MAS in the Oct'26 meeting.** This further tightening would effectively complete the 50bp slope increase that we had initially expected the MAS to deliver in July.

Figure 20: Economic activity sustaining momentum



Source : Deutsche Bank Research, Haver Analytics

Figure 21: Another slope increase likely in Oct'26



Source : Deutsche Bank Research, Haver Analytics



South Korea

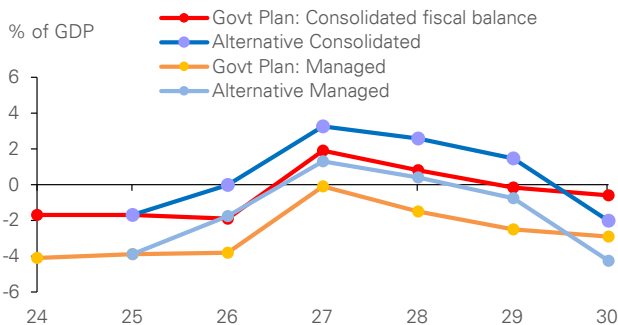
- Korea's semiconductor-led tax windfall could lift the Future Response Fund's unused capacity above KRW150tn, vs. KRW104tn estimated by the government, part of which could be used for domestic asset purchases, including debt. We should receive a revised estimate for the FRF and greater clarity on the government's plans for its management later this month.

Juliana Lee

Near-term upside risks to Future Response Fund

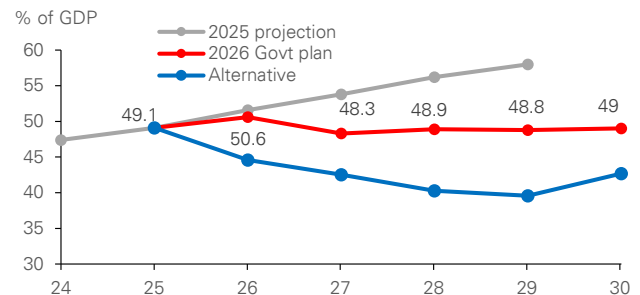
Following on our note, [Asia Thematic Analysis: S Korea: Leveraging on Semi Tax Windfall](#), the Korean government released its budget plan confirming large "excess" revenue (KRW162.3tn) within our earlier estimate of KRW150-200tn, that will be allocated to the Future Response Fund (FRF), with KRW45.4 trillion of which is allocated to the 2027 spending, with another KRW7.5 trillion put aside for future allocation to regional development (KRW5 trillion) and education/training (KRW2.5 trillion). Next year's spending will increase by about 13% (against the original 2026 budget) as we noted earlier. Together with which, the "spare" FRF capacity (not allocated to the 2027 budget) would stand at KRW104.4 trillion (KRW7.5 trillion and 96.9 trillion). The government will reportedly invest the amount with a goal of achieving higher return than KTB yields, with some allocated to bonds investments, among others.

Figure 22: Fiscal balance



Source : CEIC, RoK, Deutsche Bank Research

Figure 23: Debt projection



Source : CEIC, RoK, Deutsche Bank Research

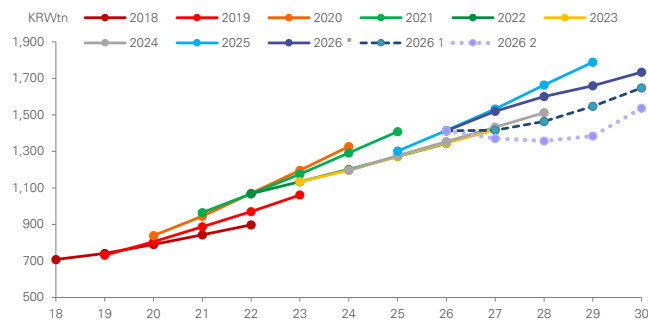
Looking at details of the budget, there are a things that stood out to us: 1) this year's revenue projection (less than 4%YoY rise) appears low, especially in the context of its performance thus far (20.5%YoY ytd in June) – along with its estimate of nominal GDP growth (below 5%); 2) its longer-term tax revenue projection beyond 2027 hints at a stable growth (a stable semiconductor sector cycle) after an upside shock next year; 3) a notable slowdown in spending growth (from 7% in 2029) to 5% in 2030 appears unusual given the presidential election in late Q1 that year, especially in the context of a significant "spare" FRF at disposal; 4) the budget details point to structural increase in spending, not a temporary boost, given their welfare nature, hinting at perpetual government obligation; and, 5) a guidance on the FRF management has yet to be clearly articulated, as suggested above.

On the above, we expect a significant upside to the 2026 estimate, which will see **the spare FRF could be at around KRW152 trillion, vs. the government's estimate of KRW104.4trillion**. In case of our projection (named alternative in charts) of a



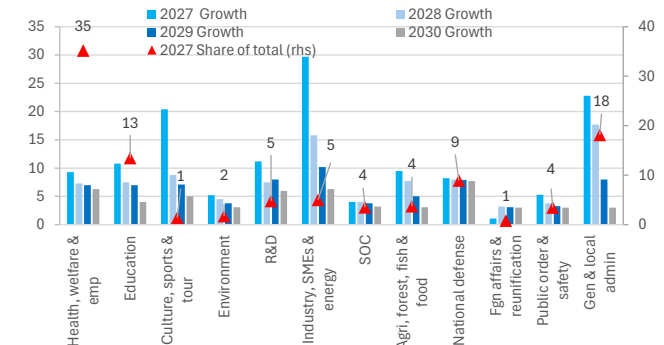
revenue growth of 12.9% through 2029, the spare FRF could peak at around KRW280 trillion in 2029. In case of the government's own revenue projection of 10.7% through 2029, the spare FRF would peak at around KRW140 trillion in 2028 instead. Beyond 2029, if we assume that the semiconductor sector's revenue declines by a third and the government spending is boosted in 2030 to 10% vs. its 5% growth plan, then the spare FRF will fall to around KRW200 trillion in 2030, still more than double what the government's own projection imply (at around KRW90 trillion).

Figure 24: Long-term debt plan



Source : CEIC, RoK, Deutsche Bank Research (* govt plan, ** if debt paid down but using govt fiscal plan; *** is db's)

Figure 25: Govt spending plan by type



Source : CEIC, RoK, Deutsche Bank Research

While the government's plan point to an increase in the national debt to 49% of GDP in 2030, from 48.3% in 2027, it could be below 47% if the FRF is used to pay down the debt instead, assuming the government's budget and nominal GDP projection. In case of our revenue and spending scenario, the debt ratio could fall below 43% of GDP in 2030, even if the government opts to boost spending growth by 2 percentage points in 2030, rather than lowering it by 2 percentage points, for which it may tap the spare FRF.

While the government has noted its intention to designate all "excess" revenue to the FRF, there have been [calls to lower the national debt instead](#). If the government seeks to offset effects of its planned net supply increases in 2027, our scenario suggests that the government will have to allocate about 70% of the spare FRF to domestic bond purchases, with its average ratio falling to a third in the 2028-2030 period. In case of the government's projection, the entire spare FRF amount barely offset the impact in 2027, with the average ratio falling to two-thirds in the 2028-2030 period. A guidance on the FRF management has yet to be clearly articulated, although earlier comments suggest that return on its investment will need to be higher than KTBs, while keeping it "liquid" to give the government the government maximum flexibility "to respond to shocks without resorting to a supplementary budget."

In the near term, **the FRF projection could alter significantly due to adjustment to the 2026 revenue**. We should receive a revised estimate by the government and greater clarity on its FRF management plan later this month. In early 2027, we will be on the lookout for any material adjustment in the semiconductor sector revenue outlook. By Q3 2027, we should have a revised 2027 budget and 2028 budget plan, as the National Assembly prepares for the April 2028 election.



Sri Lanka

- While the CBSL still sees growth as resilient, the focus has shifted toward containing inflation, rebuilding buffers and maintaining fiscal discipline.
- Given that oil prices have risen significantly once again, we expect another 50bps rate hike in the end-Sep'26 policy, leaving the policy rate at 9.25%, to maintain a positive real rate of 300-350bps, assuming average inflation of 6.0% in 2026.
- The authorities appear willing to tolerate somewhat slower near-term growth in order to safeguard macroeconomic stability and preserve the gains achieved since the 2022 crisis.
- External risks remain skewed to the downside, particularly if geopolitical tensions prove more persistent than expected. We expect the LKR to end 2026 at 335 and weaken further to 345 by end-2027.

Kaushik Das

More concerns on inflation than growth

*** Inflation:** Sri Lanka's inflation pressures intensified further in August 2026, with headline inflation measured by the Colombo Consumer Price Index (CCPI) rising to 8.0%yoy from 7.3%yoy in July. The acceleration was driven primarily by food prices, with food inflation increasing to 8.5%yoy from 6.3%yoy. In contrast, non-food inflation eased marginally to 7.7%yoy from 7.8%yoy, indicating that the latest rise in headline inflation was largely food-driven rather than broad-based.

On a month-on-month basis, the CCPI increased by 0.28% in August, with food accounting for most of the increase. Higher prices for selected food items, particularly milk powder, contributed significantly to monthly inflation, while non-food categories made only a modest contribution. Core inflation also accelerated, rising to 5.1%yoy from 4.4%yoy in July, suggesting that underlying price pressures continue to build, even as non-food headline inflation remains relatively stable.

Looking ahead, the Central Bank of Sri Lanka expects inflation to remain above its 5% target in the near term before gradually converging towards target over the medium term. **We are forecasting 2026 CPI inflation at 6.0%.** The current inflation overshoot reflects earlier energy price shocks and their pass-through to the domestic economy, prompting tighter monetary policy settings. Policymakers continue to view the rise in inflation as temporary, expecting price pressures to moderate as external shocks fade and restrictive monetary policy works through the economy. Despite the recent acceleration in inflation, inflation expectations remained broadly anchored around the target, while some easing of external sector pressures provided room to maintain the policy rate in the last policy. However, the rapidly evolving global geopolitical conditions and resultant global economic uncertainty continue to pose risks to the domestic inflation outlook, thereby warranting continued caution in the conduct of monetary policy.

The [August monetary policy report](#) argues that tighter monetary conditions are necessary to prevent second-round inflation effects and ensure that price pressures do not become entrenched. As a result, private-sector credit growth is expected to moderate in response to higher financing costs and tighter policy settings. Nevertheless, policymakers assess that monetary conditions remain consistent with preserving macroeconomic stability while allowing the recovery to continue.



* **External:** The report highlights a broadly resilient external sector but acknowledges increasing vulnerabilities. The conflict in the Middle East has raised energy import costs and created uncertainty around tourism flows, remittances, and external financing conditions. Foreign reserve accumulation has continued, although at a slower pace than previously anticipated. The Central Bank emphasizes the importance of continuing reserve rebuilding efforts and maintaining exchange-rate flexibility while preserving confidence in the broader stabilization programme. External risks therefore remain skewed to the downside, particularly if geopolitical tensions prove more persistent than expected. **Given the heightened external risks, we expect the LKR to end 2026 at 335 and weaken further to 345 by end-2027.**

* **Growth:** On growth, the August 2026 Monetary Policy Report remains relatively constructive. The CBSL assesses that economic activity continues to recover, supported by strengthening domestic demand, improving private-sector credit, construction activity and the normalization of post-crisis conditions. However, CBSL acknowledges that growth faces rising headwinds from higher energy costs, weaker external demand, geopolitical uncertainty and weather-related disruptions. As a result, while the growth outlook remains broadly stable, the report suggests that the pace of expansion is likely to moderate compared with the strong rebound phase seen in 2024-25.

* **Fiscal:** The report emphasizes that the government's consolidation strategy remains a critical pillar of macroeconomic stability. The CBSL highlights the importance of maintaining fiscal discipline, strengthening tax administration, broadening the revenue base, and continuing reforms of state-owned enterprises. The report broadly aligns with the IMF's view that temporary support measures introduced in response to higher energy prices should not derail the medium-term consolidation path. The authorities remain committed to restoring fiscal targets under the IMF programme, including achieving and sustaining primary surpluses, while preserving spending on social protection for vulnerable households. Continued adherence to cost-recovery pricing for fuel and electricity is also presented as an important component of fiscal sustainability.

A key theme running through both the growth and fiscal discussions is that Sri Lanka's recovery remains heavily dependent on policy credibility. The CBSL argues that prudent fiscal policy, a commitment to structural reforms, and continued IMF programme implementation are necessary not only to secure debt sustainability but also to create the conditions for sustainable medium-term growth. The report views fiscal consolidation not as a drag on growth, but as a prerequisite for maintaining investor confidence, rebuilding reserves, anchoring inflation expectations and reducing macroeconomic vulnerabilities. The authorities therefore appear willing to tolerate somewhat slower near-term growth in order to safeguard macroeconomic stability and preserve the gains achieved since the 2022 crisis.

* **Monetary policy:** **The August MPR is more concerned about inflation than growth.** While the CBSL still sees growth as resilient, the report's policy emphasis has shifted toward containing inflation, rebuilding buffers and maintaining fiscal discipline. Growth remains positive, but macro stability and IMF programme credibility clearly take precedence over efforts to maximize short-term growth.

Given that oil prices have risen significantly once again, we expect another 50bps rate hike in the end-Sep'26 policy, leaving the policy rate at 9.25%, to maintain a



positive real rate of 300-350bps, assuming average inflation of 6.0% in 2026.



Taiwan

- Taiwan's [Q2 GDP growth](#) moderated but became increasingly balanced. Consumption strengthened further, while investment also surged to its fastest growth in six quarters. Exports remained strong despite some moderation. We have raised 2026 GDP growth forecast to 11.5% from 10.0%.
- [Fiscal outlook](#) has also improved materially, supported by strong economic growth and active equity market. We revise up fiscal revenue and expenditure forecasts for 2026-27.
- Inflation pressure remained in place. CPI unexpectedly slowed in August due to eased food inflation, while core and energy inflation stayed elevated. Meanwhile, the property market continued to strengthen. We maintain our full-year CPI forecast at 2.2%.
- We expect CBC to deliver two 12.5bp rate hikes in September and December, bringing the policy rate to 2.25% by end-2026.

*Yi Xiong
Deyun Ou*

CBC rate cut ahead

Taiwan's [Q2 GDP growth](#) moderated but became increasingly balanced. GDP expanded by 12.92% YoY in Q2, easing from the previous two quarters, but outperforming our forecast, the market consensus, and the government's projection. More importantly, growth became more broadly based across sectors. Consumption strengthened further, with private consumption rising by 5.88% YoY (Q1: 4.74%). Investment surged by 15.14% YoY, the fastest pace in six quarters. Exports remained strong despite some moderation.

[Fiscal outlook](#) has also improved materially. Tax revenue surged 25% YoY YTD in the first seven months. Strong export demand has led to improvements in corporate profitability, resulting in substantial corporate income tax increase. The economic expansion has also boosted household income and consumption, lifting personal income tax and business tax revenues. Active equity market may have also contributed, driving securities transaction tax revenue to quadruple. We raise our fiscal forecasts for 2026 and 2027. For 2026, we revise revenue and expenditure growth forecasts to 18% and 14%, respectively, from 4% and 4% previously. For 2027, we raise our forecasts to 5% and 3%, respectively, from 4% and 2%.

We have raised our 2026 Taiwan GDP growth forecast to 11.5% from 10.0% previously. Exports should remain a key growth driver, supported by the continued advancement of agentic AI and sustained demand for AI-related hardware. Meanwhile, domestic production and investment may surprise on the upside. Credit growth and industrial production have accelerated in recent months, despite the slowdown in exports. It may signal that manufacturers are expanding capacity for the better exports outlook. Consumption is also likely to strengthen further, supported by a robust equity market, rising household income, and improving confidence. In addition, improved fiscal outlook could also support the growth. .

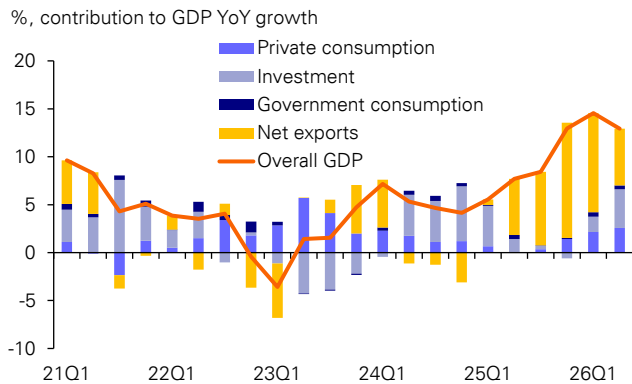
Inflation pressure remained in place. CPI unexpectedly slowed to 2.0% YoY in August, but the decline was largely concentrated in food prices, with food inflation falling by 1.8ppt to 0.8% YoY. Underlying inflation pressures remained firm, as both core and energy inflation stayed elevated. Meanwhile, the property market continued to strengthen. The Sinyi Housing Price Index returned to positive territory in Q2, while the Taipei Housing Price Index rose by 6%. We expect the inflation



pressure to sustain this year and maintain our full-year CPI forecast at 2.3%.

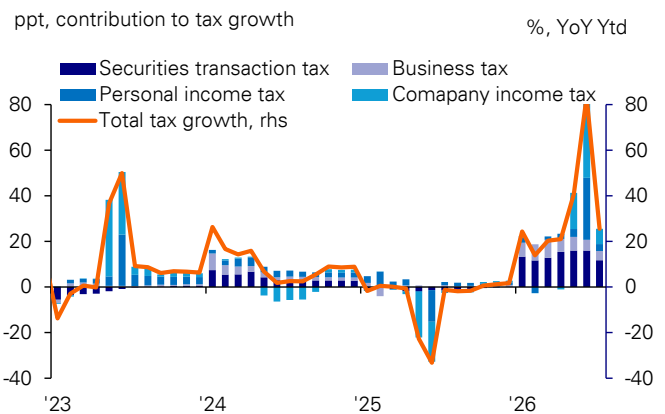
CBC will likely deliver a 12.5bp rate hike in its September meeting. Economic growth momentum has become increasingly balanced between external and domestic demand. Combined with higher inflationary pressures from energy, housing, and consumption, this backdrop should justify CBC's policy tightening. We expect CBC to deliver two 12.5bp rate hikes in September and December, bringing the policy rate to 2.25% by end-2026. We expect the policy rate to remain at 2.25% through end-2027 as inflation gradually moderates back toward target.

Figure 26: Taiwan's Q2 GDP growth moderated but became increasingly balanced



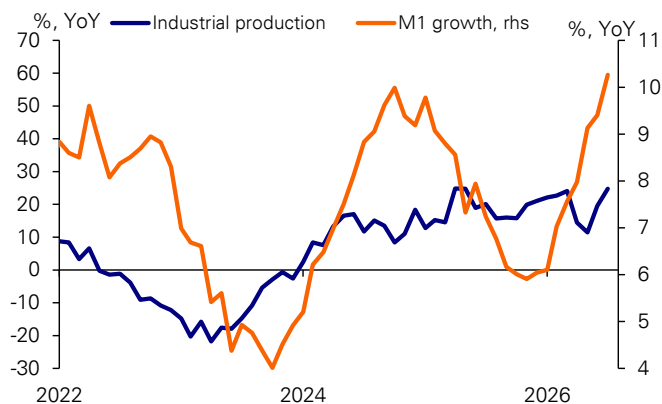
Source : Deutsche Bank Research, CEIC

Figure 27: Tax revenue surged 25% YoY YTD in the first seven months



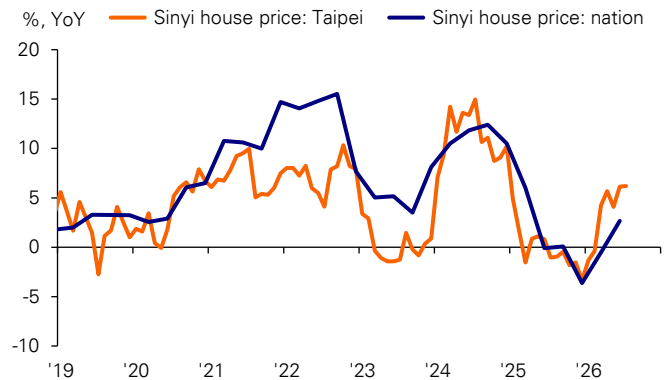
Source : Deutsche Bank Research, CEIC

Figure 28: Manufacturers are expanding capacity



Source : Deutsche Bank Research, Haver Analytics

Figure 29: Housing prices growth returned to positive territory in Q2



Source : Deutsche Bank Research, CEIC



Thailand

- Strong and broad-based employment growth suggests that Thailand's recovery may be more resilient than feared, although the economy risks remaining stuck in the global value chain amid rising import content and weak domestic manufacturing value added.

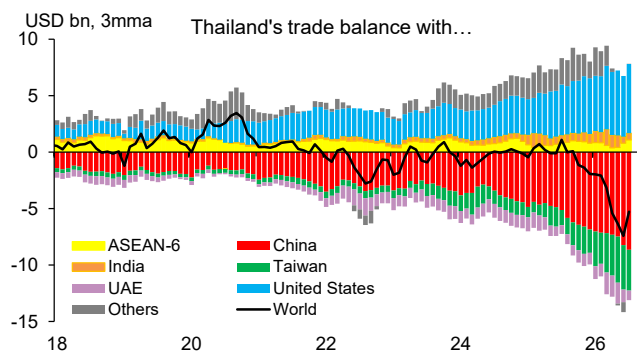
Juliana Lee

More resilient recovery, but may be stuck in the value chain

The Bank of Thailand kept its policy rate unchanged, as expected, while maintaining a dovish tone. It retained its growth forecasts of 2.3% in 2026 and 1.8% in 2027; excluding government measures, the corresponding estimates are 1.8% and 2.1%. Although the BoT continues to describe growth as "low and uneven," strong export-related investment and broad-based employment gains suggest that private consumption may be weakened as much as it fears once the fiscal support fades, despite the cost of living challenge.

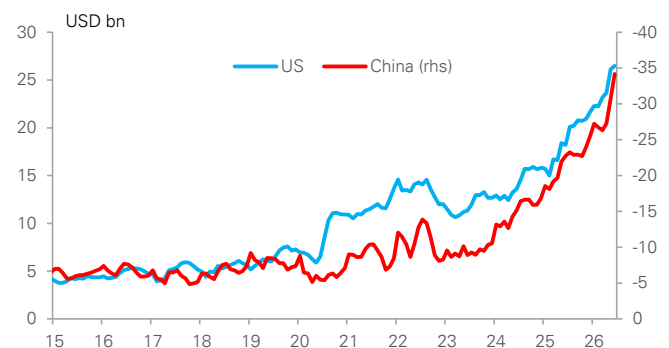
The technology and AI cycle should continue to support activity, although concerns over domestic spillovers remain uncertain. Export growth accelerated to 21.6% in July, from 18.1% in Q2. With import growth slowing to 35.7% in July, from 43.5% in Q2, its good trade deficit narrowed to -USD3.6 billion in July from a monthly average of -USD7.4 billion.

Figure 30: Thailand's trade balance



Source : CEIC, Deutsche Bank Research

Figure 31: ASEAN x SG's balance with CN vs. US



Source : CEIC, Deutsche Bank Research

The BoT expects merchandise exports and related investment to benefit over the next one to two years. However, the gains to the broader Thai economy will depend on firms' ability to integrate into supply chains, adopt productivity-enhancing technologies and generate greater domestic value added. This is seen as particularly important because the import content of production has risen to about 70% this year, from the mid-50% range eight years ago, limiting the multiplier from strong exports. The BoT also called for structural transformation and measures to boost long-term productivity.

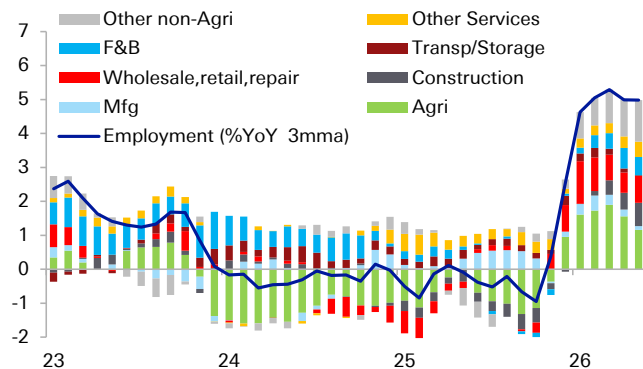
Despite surging exports, growth in manufacturing value added production stood relatively muted, at 0.5% in July, although improving over the 1.5 % contraction reported in Q2. That said, FDI application value rose 80%YoY ytd in July, with approved value rising as much, hinting at sustained global integration.



While inflation may undershoot the BoT's forecast, recent core pressures warrant attention. The central bank's headline inflation forecasts stand at 2.8% for 2026 and 1.4% for 2027, with core inflation projected at 1.5% and 1.4%, respectively. Headline and core inflation averaged only 1.4% and 0.9% in January–August, suggesting that this year's average may be lower than the BoT's projection, albeit core rose relatively sharply to 1.4% in August. The BoT also remains alert to oil-price risks from the ongoing conflict and to the potential impact of El Niño, even as it expects weak demand-pull pressure to guide inflation lower, also weighed down by base effects.

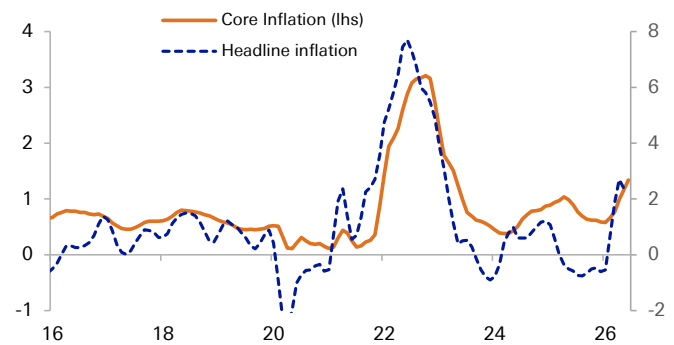
The BoT remains concerned over household demand ahead. Noting that repeated economic shocks have weakened household balance sheets, while concentrated growth has produced only a gradual recovery in incomes, the BoT called for close monitoring of household purchasing power as government support measures expire, especially in face of elevated living costs, a sluggish income recovery and debt risks, particularly among lower-income households. In connection, the BoT highlighted the importance of targeted fiscal (cost of living measures) and financial measures (SME credit programmes and debt resolution initiatives), complementing monetary accommodation, in support of the vulnerable borrowers whose credit quality continues to deteriorate.

Figure 32: Broad base employment growth



Source : CEIC, Deutsche Bank Research

Figure 33: Core and headline inflation trend



Source : CEIC, Deutsche Bank Research

Employment data offer a more encouraging picture. Employment growth averaged 4.9% in January–July. Agriculture, forestry and fishing contributed 1.4 percentage points, while non-agricultural sectors contributed a much larger 3.5 percentage points. Wholesale, retail and motor-vehicle repair led the gains, adding 1.0 percentage point, followed by food and beverage services at 0.41 percentage points, administrative and support services at 0.38, construction at 0.35 and other services at 0.34. Manufacturing also contributed 0.2 percentage points. This broad sectoral contribution contrasts with economies such as South Korea, where stronger manufacturing output has coincided with weaker manufacturing employment amid automation and intensive use of robotics. Overall, Thailand's labour-market improvement suggests that the recovery is not as narrowly concentrated as the BoT's cautious narrative implies, although household vulnerabilities and weak productivity spillovers remain important downside risks.



Vietnam

- While Vietnam's near-term growth is tracking close to 9% in Q3, its longer-term prospects remain constrained by a persistent financing gap and reliance on the FDI sector to sustain its external balance.

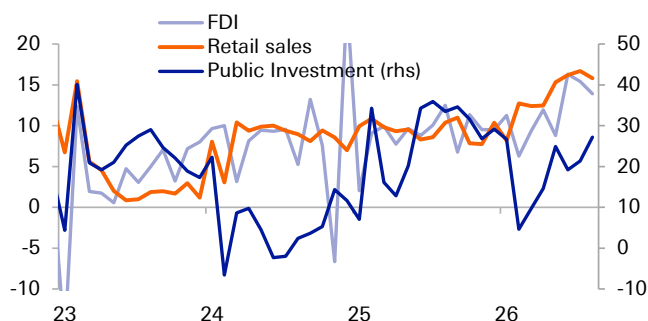
Juliana Lee

Q3 growth tracking near 9%, but funding risks persist

High-frequency indicators point to sustained robust growth in Q3, with GDP growth tracking close to 9%—above our earlier forecast, thereby posing upside risks to our annual growth forecast. Industrial production, exports, public investment, FDI and retail sales all accelerated in July and August. However, the economy's dependence on the FDI sector, rising inflation, pressure on the dong and reliance on short-term bank funding remain important constraints.

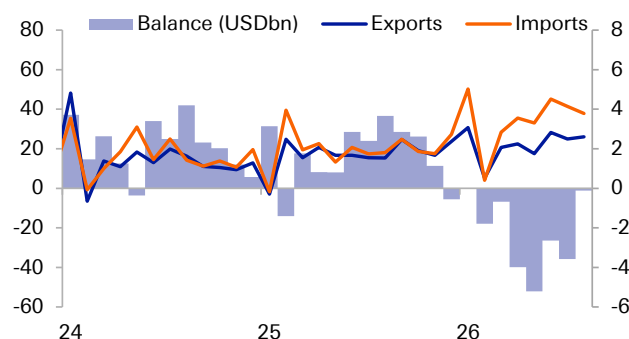
Growth momentum remained broad-based. Industrial production growth averaged 14.9% in July and August, up from 11.2% in Q2. Retail sales growth accelerated to 16.2% from 14.7%, while real retail sales growth rose to 11.6% from 9.4%. State investment increased 24.3%, compared with 15.8% in Q2, as investment funded by the State Budget surged to 25.0% year on year from 10.8%. Implemented FDI also strengthened, rising 14.7% from 12.3%.

Figure 34: Strong Q3 growth



Source : CEIC, Deutsche Bank Research

Figure 35: Improved trade balance



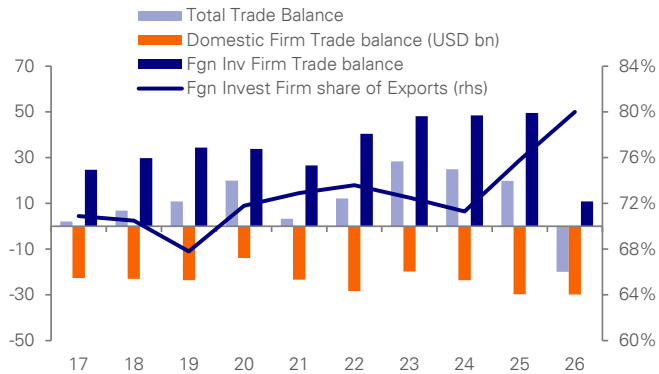
Source : CEIC, Deutsche Bank Research

External demand remained strong, while the trade balance improved. Export growth accelerated to an average of 25.5% in July and August from 22.8% in Q2, led by electronics. Import growth also rose, to 39.7% from 38.2%. Even so, the monthly goods trade deficit narrowed to an average of USD1.8bn from USD3.9bn in Q2 and improved sharply to just USD0.1bn in August from USD3.5bn in July.

The composition of the trade balance continues to expose a structural vulnerability. FDI-invested firms recorded an average monthly goods trade surplus of USD1.0bn in July and August, up from USD0.5bn in Q2, while the domestic sector's persistent deficit narrowed to USD2.1bn from USD4.4bn. Although the overall improvement is encouraging, the divergence highlights Vietnam's continued dependence on the foreign-invested sector and the associated balance-of-payments pressure on the dong.

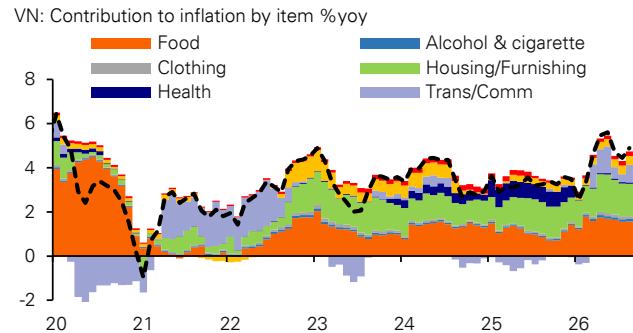


Figure 36: Trade balance by firm type



Source : CEIC, Deutsche Bank Research (Up to Aug 26)

Figure 37: Inflation by item



Source : CEIC, Deutsche Bank Research

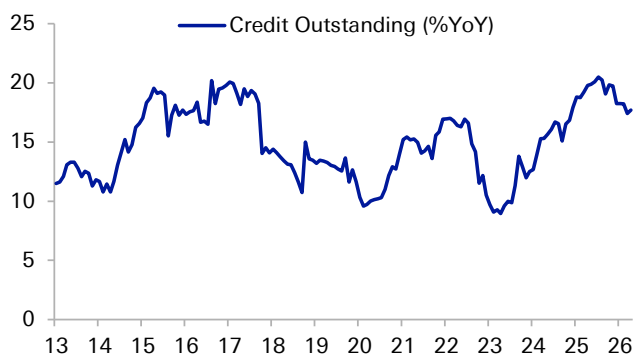
Policy is increasingly focused on improving the domestic value-added of FDI.

Proposed incentives in strategic sectors are expected to be linked more explicitly to technology transfer and workforce development, alongside efforts to identify domestic companies capable of absorbing and commercialising transferred technologies. The objective is not simply faster export growth, but stronger domestic production capabilities and greater participation by local suppliers.

Inflation remains manageable, but the direction of travel limits policy flexibility.

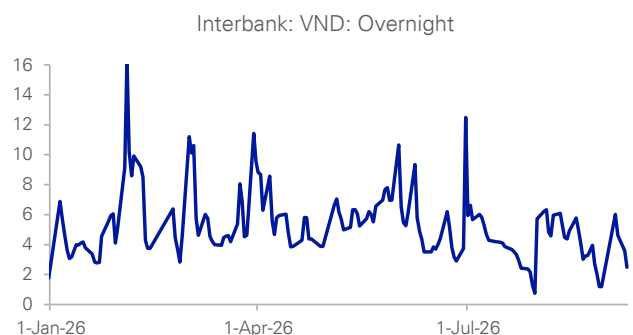
Although CPI inflation rose by 0.5 percentage points to 4.9% in August, largely because of higher transport costs, it averaged 4.7% in July and August, down from 5.3% in Q2. Nevertheless, renewed inflation pressure poses a risk to the dong and constrains the scope for policy easing.

Figure 38: Credit growth



Source : CEIC, Deutsche Bank Research

Figure 39: Interbank rate



Source : CEIC, Deutsche Bank Research

Liquidity has improved, recently but remains volatile, while structural funding risks remain. The overnight interbank rate stood at 2.5% on 8 September, down from 6% on 3 September, reflecting easier liquidity conditions but point to volatile conditions amid banks' reliance on short-term funding. Credit growth remained robust at 17.7%YoY in July, while corporate capital market fundraising rose 12%. (Long-term) financing remains as one of the bottlenecks to push ahead with mega investment projects.



Deutsche Bank Macro Forecasts

Figure 40: Macroeconomic Indicators

	Real GDP Growth (YoY%)				Inflation (YoY%)				Current Account (% of GDP)				Fiscal Balance (% of GDP)			
	2024	2025	2026F	2027F	2024	2025	2026F	2027F	2024	2025	2026F	2027F	2024	2025	2026F	2027F
China	5.0	5.0	4.7	4.5	0.2	0.1	1.0	2.1	2.5	3.8	3.6	3.5	-4.8	-5.1	-5.3	-5.0
Hong Kong	2.6	3.6	4.0	2.6	1.7	1.4	2.0	2.1	13.1	12.3	9.6	9.5	-5.9	-3.0	-2.2	-1.9
India	7.4	7.3	7.7	7.2	4.9	2.2	4.4	4.7	-0.9	-0.4	-2.4	-1.0	-7.7	-7.3	-7.1	-7.0
Indonesia	5.0	5.1	5.2	5.3	2.3	1.9	3.5	3.3	-0.6	-0.1	-1.2	-0.5	-2.3	-2.9	-2.9	-2.9
Malaysia	5.2	5.2	5.4	5.1	1.8	1.4	2.0	1.7	1.4	1.6	1.8	1.9	-4.1	-3.8	-3.7	-3.4
Philippines	5.7	4.4	3.5	5.8	3.2	1.7	5.5	4.0	-4.0	-3.5	-3.6	-3.0	-5.7	-5.6	-5.4	-5.0
Singapore	5.3	5.0	5.2	2.9	2.4	0.9	1.9	1.8	17.2	16.7	16.9	16.5	0.8	1.9	1.2	0.4
South Korea	2.2	1.1	3.6	2.8	2.3	2.1	2.7	2.7	5.3	6.5	17.8	12.0	-1.7	-1.7	0.0	3.3
Sri Lanka	5.0	5.0	3.5	4.0	1.3	-0.5	6.0	5.5	1.2	1.6	-0.6	-1.3	-6.8	-4.5	-7.0	-6.0
Taiwan	5.3	8.8	11.5	3.8	2.2	1.7	2.3	2.0	14.3	20.0	23.3	25.0	0.4	0.3	0.7	1.0
Thailand	2.9	2.4	2.5	2.5	0.4	-0.1	2.1	2.1	2.2	3.0	-1.6	4.3	-4.6	-4.6	-4.4	-3.9
Vietnam	7.1	7.8	8.6	9.7	3.6	3.2	4.7	3.9	6.7	6.7	1.3	2.8	-3.4	-3.0	-3.5	-4.0
Emerging Asia*	5.4	5.4	5.6	5.1	1.8	0.9	2.3	2.8	2.2	3.2	3.0	3.2	-4.9	-5.0	-5.0	-4.6
EM Asia ex CN&IN*	4.5	4.7	5.5	4.6	2.2	1.7	3.2	2.8	4.3	5.4	6.4	6.5	-2.7	-2.6	-2.3	-1.7
Asia-8*	4.6	4.7	5.6	4.7	2.3	1.7	3.2	2.8	4.1	5.3	6.4	6.5	-2.5	-2.5	-2.2	-1.6
ASEAN*	5.1	5.0	5.1	5.4	2.3	1.6	3.4	3.0	2.1	2.5	0.6	2.0	-3.2	-3.2	-3.3	-3.2
US	2.8	2.1	2.2	2.2	3.0	2.7	3.3	2.4	-4.0	-3.8	-3.8	-4.2	-7.4	-5.4	-6.3	-6.3
Euroland	1.1	1.3	0.8	1.2	2.4	2.1	3.0	2.7	2.6	1.7	0.0	1.0	-3.0	-2.9	-3.7	-3.8
Japan	0.1	1.2	0.7	0.9	2.7	3.2	1.9	1.4	4.6	4.8	5.5	5.4	-1.8	-0.8	-1.5	-2.0
Australia	1.0	2.0	2.3	1.4	3.7	2.9	3.7	2.5	-0.5	-2.3	-3.5	-3.0	0.6	-0.4	-1.0	-1.0

Source : Bloomberg Finance LP, Haver Analytics, Deutsche Bank Research. *PPP weighted
Asia-8: Indonesia, Malaysia, Philippines, Singapore, South Korea, Taiwan, Thailand, Vietnam
ASEAN: Indonesia, Malaysia, Philippines, Singapore, Thailand, Vietnam

Figure 41: Policy Rates (%) and Exchange Rates (vs. USD)

	Inflation (% YoY)				Policy Rate					FX				
	Q3-26F	Q4-26F	Q1-27F	Q4-27F	Current*	Q3-26F	Q4-26F	Q1-27F	Q4-27F	Spot*	Q3-26F	Q4-26F	Q1-27F	Q4-27F
China	0.9	1.2	1.7	2.8	1.40	1.40	1.40	1.40	1.40	CNY	6.71	6.70	6.55	6.30
Hong Kong	2.1	2.4	2.4	1.8	4.00	4.25	4.50	4.50	4.50	HKD	7.84	7.80	7.80	7.80
India	4.7	5.7	5.1	4.3	5.25	5.25	5.50	5.75	6.25	INR	95.6	93.5	93.0	97.0
Indonesia	3.4	3.9	3.6	2.9	5.75	5.75	5.75	5.75	5.25	IDR	17,611	17,700	17,800	18,000
Malaysia	1.9	2.4	2.3	1.1	2.75	2.75	2.75	3.00	3.00	MYR	4.07	3.98	3.90	3.95
Philippines	6.1	6.1	5.1	4.0	5.00	5.00	5.00	5.25	5.25	PHP	62.7	62.5	62.0	61.8
Singapore	2.3	2.2	2.3	1.8						SGD	1.27	1.26	1.25	1.24
South Korea	3.1	2.9	2.9	2.6	3.00	3.00	3.25	3.50	3.75	KRW	1,340	1,350	1,340	1,330
Sri Lanka	7.8	8.2	8.8	3.9	8.75	9.25	9.25	9.25	8.75	LKR	329	335	335	337
Taiwan	2.4	2.7	2.7	1.2	2.00	2.13	2.25	2.25	2.25	TWD	31.6	31.0	30.5	30.3
Thailand	2.6	3.5	3.9	1.2	1.00	1.00	1.00	1.00	1.50	THB	33.0	33.5	34.0	33.5
Vietnam	4.8	5.2	5.1	3.5	4.50	4.50	4.50	4.50	4.50	VND	25,920	26,400	26,800	26,800
US	3.3	3.2	2.8	2.5	3.63	3.88	4.13	4.13	4.13					
Euroland	3.3	3.7	3.5	2.0	2.50	2.50	2.75	2.75	2.75	EUR	1.16		1.20	1.25
Japan	2.1	2.5	3.1	0.5	1.00	1.25	1.25	1.50	1.75	JPY	153.7		150	140
Australia	3.3	3.1	2.3	2.4	4.35	4.60	4.60	4.60	4.35	AUD	0.72		0.74	0.73

Source : Bloomberg Finance LP, Haver Analytics, Deutsche Bank Research. Note: China, 7d OMO; Hong Kong, discount base rate; India, repo rate; Indonesia, reverse repo rate; Malaysia, o/n call rate; Philippines, reverse repo rate; South Korea, base rate; Taiwan, discount rate; Thailand, o/n repo rate; US, effective Fed fund rate; Euroland, ECB deposit rate; Japan, policy balance rate. Note: *Current and spot rates are as at 10 Sep.



Figure 42: China

		2023	2024	2025	2026F	2027F
Nominal GDP	USD bn	18,263	18,721	19,658	22,226	24,837
Real GDP	%	5.4	5.0	5.0	4.7	4.5
Private cons.		9.0	5.4	5.0	4.9	4.5
Gov. cons.		7.4	1.0	5.5	5.2	5.0
Investment		3.3	2.7	2.8	3.5	3.0
Exports		4.4	13.6	9.2	12.9	5.9
Imports		3.4	1.9	0.7	13.7	5.9
CPI inflation	%	0.2	-0.1	0.0	1.0	1.5
Trade balance	% of GDP	3.3	4.3	5.4	5.2	5.0
CA balance	% of GDP	1.4	2.5	3.7	3.6	3.5
Fiscal balance	% of GDP	-9.5	-8.9	-10.0	-9.5	-9.0
Gov. debt	% of GDP	54.7	60.9	67.4	72.2	76.3

Source: Deutsche Bank Research

Figure 43: Hong Kong

		2023	2024	2025	2026F	2027F
Nominal GDP	USD bn	381	408	427	452	476
Real GDP	%	3.2	2.6	3.6	4.0	2.6
Private cons.		6.8	-0.2	1.7	3.5	1.0
Gov. cons.		-3.9	0.7	1.5	2.0	2.0
Investment		12.1	3.0	15.8	3.9	5.0
Exports		-6.5	5.1	11.2	17.7	2.8
Imports		-5.4	3.9	11.5	17.6	2.5
CPI inflation	%	2.1	1.7	1.4	2.0	2.1
Trade balance	% of GDP	-4.2	-0.5	0.9	1.1	1.1
CA balance	% of GDP	8.4	13.1	12.3	9.6	9.5
Fiscal balance	% of GDP	-5.7	-5.9	-3.0	-2.2	-1.9
Gov. debt	% of GDP	14.9	15.2	17.4	19.5	21.5

Source: Deutsche Bank Research

Figure 44: India

		2023	2024	2025	2026F	2027F
Nominal GDP	USD bn	3,410	3,706	3,872	4,037	4,386
Real GDP	%	7.1	7.4	7.3	7.7	7.2
Private cons.		4.5	6.5	6.9	6.7	6.6
Gov. cons.		8.9	5.7	5.3	6.1	7.8
Investment		8.7	8.8	7.2	9.1	8.0
Exports		2.5	5.4	6.6	5.7	5.0
Imports		10.4	2.8	5.4	2.7	6.1
CPI inflation	%	5.7	4.9	2.2	4.4	4.7
Trade balance	% of GDP	-6.9	-7.5	-8.0	-10.0	-8.3
CA balance	% of GDP	-0.9	-0.9	-0.4	-2.4	-1.0
Fiscal balance	% of GDP	-8.5	-7.7	-7.3	-7.1	-7.0
Gov. debt	% of GDP	81.1	80.3	80.8	79.8	79.5

Source: Deutsche Bank Research

Figure 45: Indonesia

		2023	2024	2025	2026F	2027F
Nominal GDP	USD bn	1,371	1,396	1,446	1,467	1,551
Real GDP	%	5.0	5.0	5.1	5.2	5.3
Private cons.		4.9	5.1	5.0	5.2	5.1
Gov. cons.		3.0	6.8	2.5	12.6	2.1
Investment		5.2	7.5	4.0	6.8	7.0
Exports		1.7	6.9	7.0	3.6	3.3
Imports		-1.2	8.1	4.8	5.9	3.7
CPI inflation	%	3.7	2.3	1.9	3.5	3.3
Trade balance	% of GDP	3.4	2.9	3.4	3.2	2.9
CA balance	% of GDP	-0.2	-0.6	-0.1	-1.3	-0.5
Fiscal balance	% of GDP	-1.6	-2.3	-2.9	-2.9	-2.9
Gov. debt	% of GDP	39.3	39.9	40.3	40.8	39.6

Source: Deutsche Bank Research

Figure 46: Malaysia

		2023	2024	2025	2026F	2027F
Nominal GDP	USD bn	400	422	482	545	581
Real GDP	%	3.6	5.2	5.2	5.4	5.1
Private cons.		4.6	4.8	5.3	5.0	5.0
Gov. cons.		4.3	4.6	5.3	5.4	4.6
Investment		6.9	6.3	8.4	4.8	7.0
Exports		-7.9	8.6	4.9	7.2	3.9
Imports		-6.8	8.7	6.3	6.8	4.3
CPI inflation	%	2.5	1.8	1.4	2.0	1.7
Trade balance	% of GDP	4.8	5.3	5.6	5.7	5.8
CA balance	% of GDP	1.1	1.4	1.6	1.8	1.9
Fiscal balance	% of GDP	-5.0	-4.1	-3.8	-3.7	-3.4
Gov. debt	% of GDP	64.3	64.6	65.5	64.0	63.8

Source: Deutsche Bank Research

Figure 47: Philippines

		2023	2024	2025	2026F	2027F
Nominal GDP	USD bn	438	456	476	492	542
Real GDP	%	5.5	5.7	4.4	3.5	5.8
Private cons.		5.5	4.9	4.5	3.1	4.7
Gov. cons.		0.3	7.7	8.4	7.5	6.6
Investment		6.3	7.7	-1.7	0.2	6.7
Exports		1.3	3.2	8.2	7.0	3.3
Imports		1.0	4.3	5.0	4.8	2.8
CPI inflation	%	6.0	3.2	1.7	5.4	4.0
Trade balance	% of GDP	-15.1	-15.1	-14.0	-14.6	-14.2
CA balance	% of GDP	-2.8	-4.0	-3.4	-3.6	-2.9
Fiscal balance	% of GDP	-6.2	-5.7	-5.6	-5.4	-5.0
Gov. debt	% of GDP	61.6	62.0	64.4	62.4	60.3

Source: Deutsche Bank Research

Figure 48: Singapore

		2023	2024	2025	2026F	2027F
Nominal GDP	USD bn	511	573	604	675	730
Real GDP	%	1.5	5.3	5.0	5.2	2.9
Private cons.		3.7	5.8	3.9	3.3	3.2
Gov. cons.		1.1	7.9	1.7	2.1	3.8
Investment		-9.9	14.1	4.1	8.9	6.4
Exports		4.4	5.7	10.8	13.2	3.1
Imports		4.1	6.7	11.9	14.1	3.0
CPI inflation	%	4.8	2.4	0.9	1.9	1.8
CPI core		4.2	2.8	0.7	1.9	2.1
Trade balance	% of GDP	31.5	30.0	29.2	31.2	31.7
CA balance	% of GDP	16.4	17.2	16.7	16.9	16.5
Fiscal balance	% of GDP	-0.4	0.8	1.9	1.2	0.4
Gov. debt	% of GDP	167.6	165.4	166.1	180.0	185.0

Source: Deutsche Bank Research

Figure 49: South Korea

		2023	2024	2025	2026F	2027F
Nominal GDP	USD bn	1,843	1,881	1,882	2,209	2,405
Real GDP	%	1.5	2.2	1.1	3.6	2.8
Private cons.		2.0	1.1	1.5	2.3	2.2
Gov. cons.		1.9	2.1	2.7	1.7	1.7
Investment		-0.2	-0.8	-3.4	3.4	5.0
Exports		3.4	6.8	4.3	10.2	6.0
Imports		3.0	2.5	3.3	8.0	8.0
CPI inflation	%	3.6	2.3	2.1	2.7	2.7
Trade balance	% of GDP	2.2	6.0	7.3	18.3	13.5
CA balance	% of GDP	1.8	5.3	6.5	17.8	12.0
Fiscal balance	% of GDP	-1.5	-1.7	-1.7	0.0	3.3
Gov. debt	% of GDP	43.9	43.6	45.4	43.9	45.7

Source: Deutsche Bank Research

Figure 50: Sri Lanka

		2023	2024	2025	2026F	2027F
Nominal GDP	USD bn	84	100	109	115	123
Real GDP	%	-2.0	5.0	5.0	3.5	4.0
Private cons.		-1.0	4.8	6.3	4.1	4.6
Gov. cons.		-5.4	-1.1	-0.8	-0.5	-0.5
Investment		-6.6	17.7	9.8	4.5	5.0
Exports		12.7	12.4	5.1	4.0	4.5
Imports		8.9	21.6	10.8	5.0	5.5
CPI inflation	%	20.5	1.3	-0.5	6.0	5.5
Trade balance	% of GDP	-5.8	-6.1	-7.0	-8.0	-8.6
CA balance	% of GDP	1.7	1.2	1.6	-0.6	-1.3
Fiscal balance	% of GDP	-8.5	-6.8	-4.5	-7.0	-6.0
Gov. debt	% of GDP	112.4	109.6	104.7	103.8	102.8

Source: Deutsche Bank Research

Figure 51: Taiwan

		2023	2024	2025	2026F	2027F
Nominal GDP	USD bn	757	802	920	1,051	1,142
Real GDP	%	1.1	5.3	8.8	11.5	3.8
Private cons.		7.9	3.2	1.4	4.5	2.6
Gov. cons.		0.2	3.0	1.2	3.0	2.0
Investment		-10.3	14.9	4.0	15.6	1.5
Exports		-4.1	8.7	32.1	29.2	5.9
Imports		-5.5	11.6	27.1	28.9	4.6
CPI inflation	%	2.5	2.2	1.7	2.3	2.0
Trade balance	% of GDP	12.7	12.6	19.4	23.0	24.2
CA balance	% of GDP	14.1	14.3	20.0	23.3	25.0
Fiscal balance	% of GDP	-0.6	0.4	0.3	0.7	1.0
Gov. debt	% of GDP	32.9	30.9	27.6	24.3	22.9

Source: Deutsche Bank Research

Figure 52: Thailand

		2023	2024	2025	2026F	2027F
Nominal GDP	USD bn	516	530	557	595	609
Real GDP	%	2.2	2.9	2.4	2.5	2.5
Private cons.		6.9	4.4	2.7	2.3	2.2
Gov. cons.		-4.7	2.6	0.6	0.5	-0.1
Investment		1.2	-0.3	4.9	5.7	2.5
Exports		2.7	7.5	9.3	11.2	4.5
Imports		-2.5	5.7	6.7	12.5	4.1
CPI inflation	%	1.3	0.4	-0.1	2.1	2.1
Trade balance	% of GDP	3.8	4.0	4.2	-1.2	5.4
CA balance	% of GDP	1.7	2.2	3.0	-1.6	4.3
Fiscal balance	% of GDP	-3.9	-4.6	-4.6	-4.4	-3.9
Gov. debt	% of GDP	58.6	61.3	61.5	66.4	67.5

Source: Deutsche Bank Research

Figure 53: Vietnam

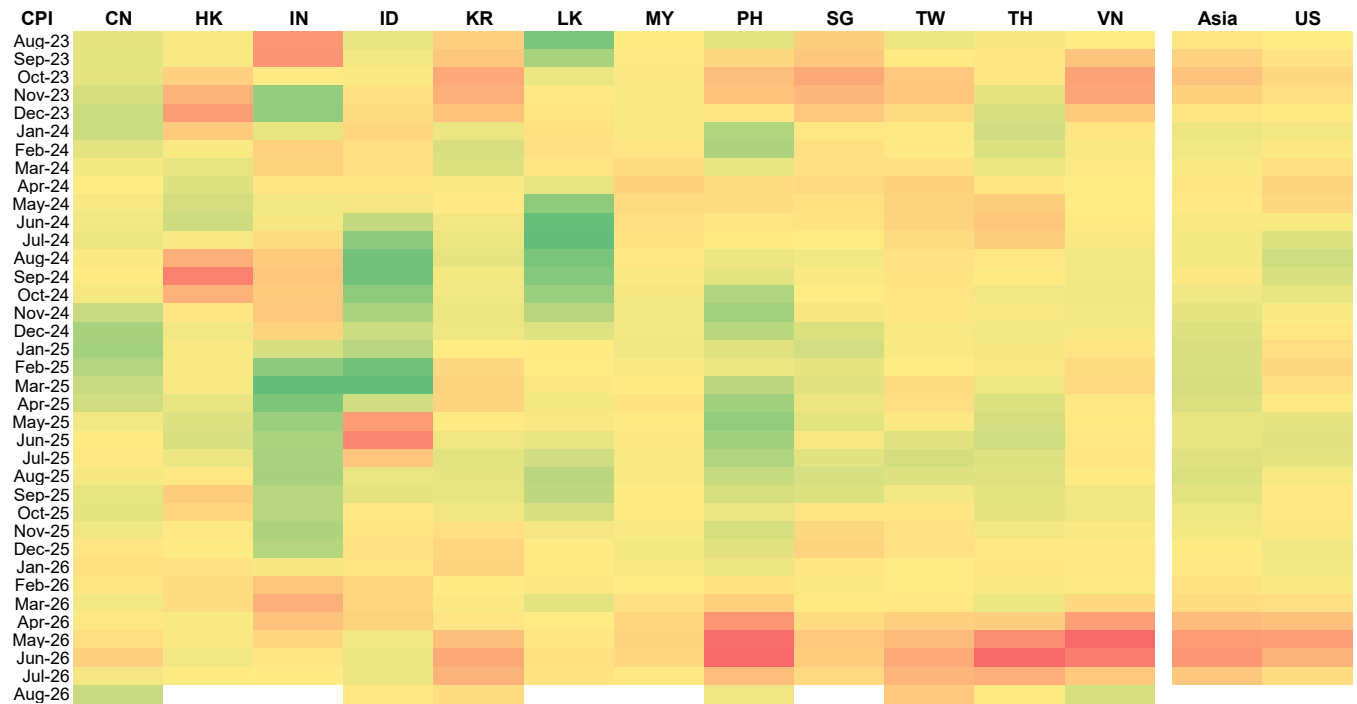
		2023	2024	2025	2026F	2027F
Nominal GDP	USD bn	434	476	495	552	615
Real GDP	%	4.9	7.1	7.8	8.6	9.7
Private cons.		3.4	6.7	7.3	7.8	8.0
Gov. cons.		4.6	5.8	11.9	7.5	7.5
Investment		4.6	7.1	8.6	12.5	14.0
Exports		-2.5	15.5	16.3	19.0	10.0
Imports		-4.3	16.1	17.1	20.5	10.5
CPI inflation	%	3.3	3.6	3.2	4.7	3.9
Trade balance	% of GDP	9.8	9.5	8.5	2.7	4.1
CA balance	% of GDP	6.0	6.7	6.7	1.3	2.8
Fiscal balance	% of GDP	-2.4	-3.4	-3.0	-3.5	-4.0
Gov. debt	% of GDP	33.2	33.5	32.5	33.5	34.0

Source: Deutsche Bank Research



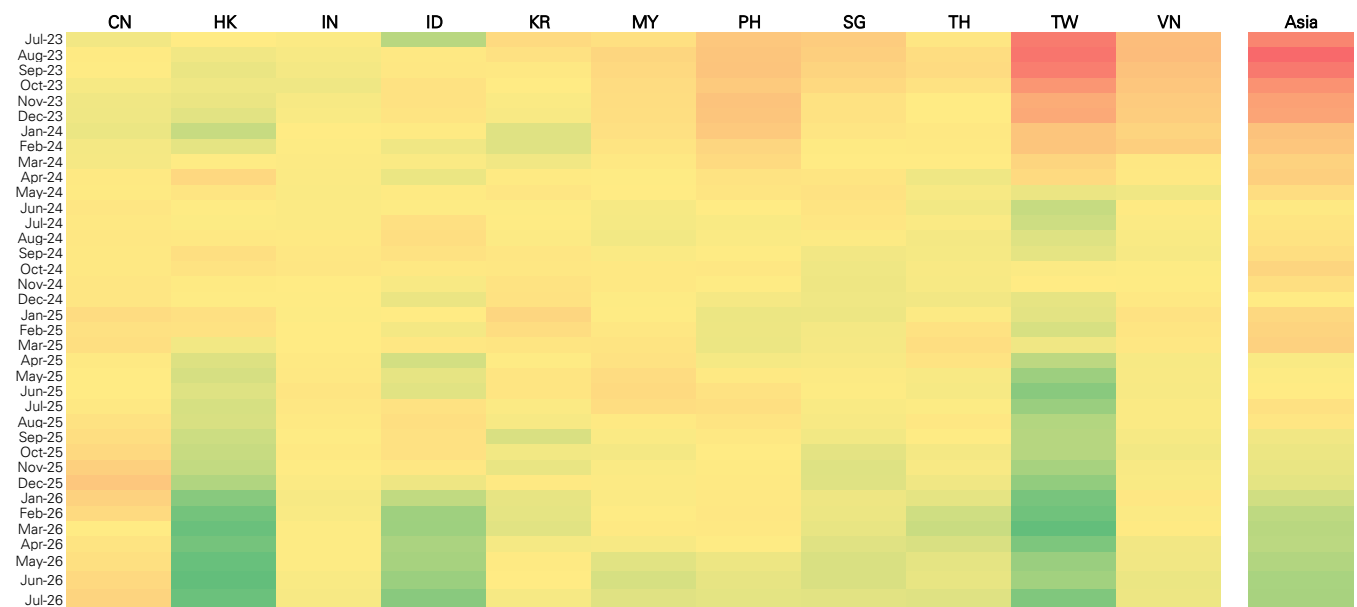
Growth & Inflation Heatmap

Figure 54: Heatmap of headline inflationary momentum



Source : Deutsche Bank Research, Haver Analytics; Note: Z-score of CPI inflationary momentum (3m/3m saar). The further below the 10-yr average, the greener the color gets, while red reflects inflationary pressure well above the historical average.

Figure 55: Heatmap of Monthly Growth Indicators (MGIs)

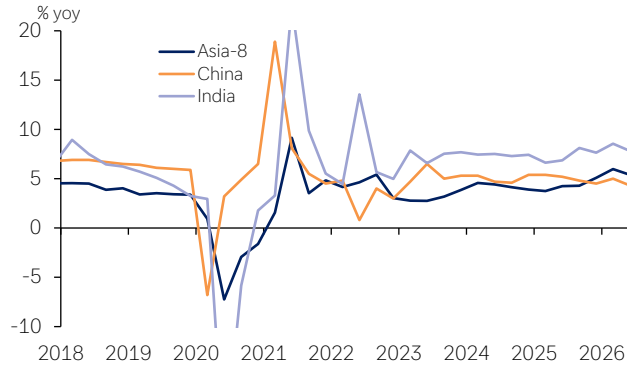


Source : CEIC, Deutsche Bank Research; Note: The MMI is a weighted average of the 3mma of the z-scores of annual growth rates of high-frequency indicators, such as non-oil imports, IP, retail sales, credit and auto sales, among others. In order to arrive at an "optimized" composite score, each variable is weighted by its coefficient estimate obtained in a regression, where GDP is the dependent variable. Analysis is done over the period from 2010 to the present. The further above the 12-yr avg, the greener the color gets, while red reflects growth momentum well below the historical average.



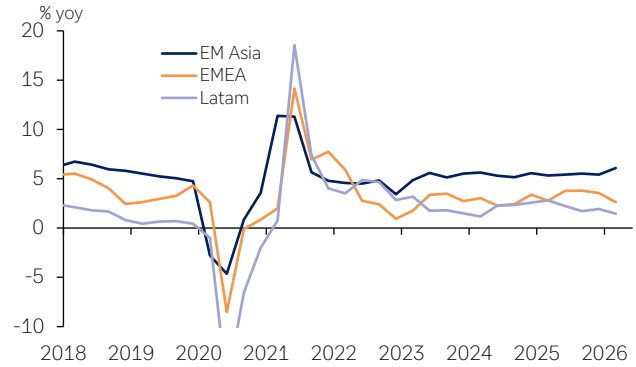
EM Asia Macro Charts

Figure 56: GDP growth – EM Asia-8 vs. CH vs. IN



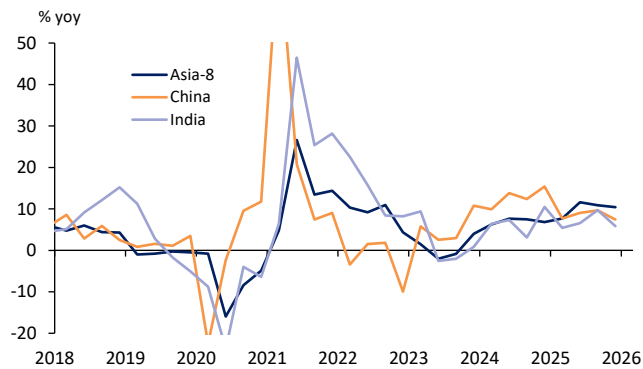
Source : Deutsche Bank Research, Haver Analytics

Figure 57: GDP growth – EM Asia vs. other EMs



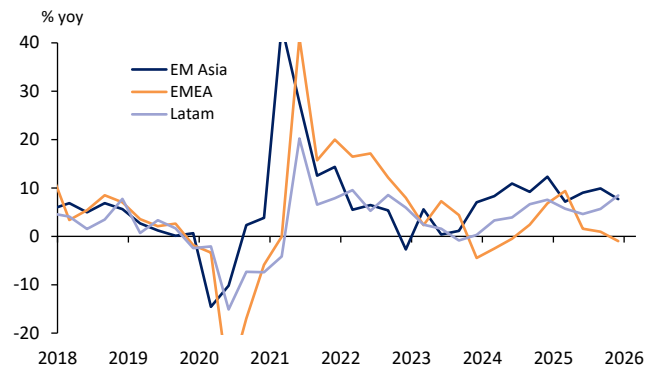
Source : Deutsche Bank Research, Haver Analytics

Figure 58: Real exports growth – EM Asia-8 vs. CH vs. IN



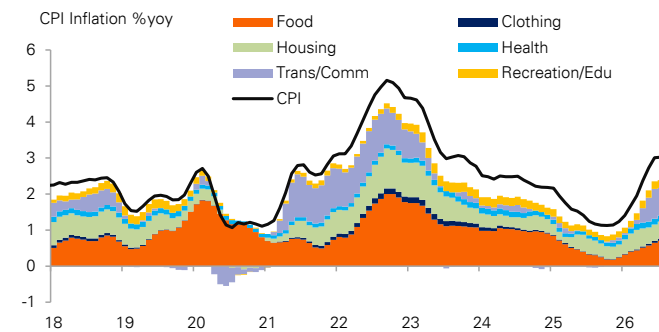
Source : Deutsche Bank Research, Haver Analytics

Figure 59: Real exports growth – EM Asia vs. other EMs



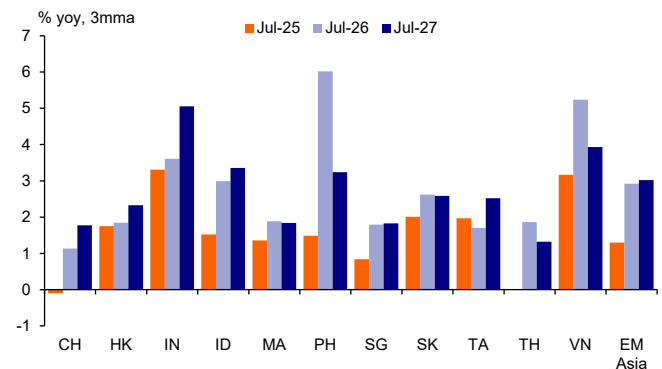
Sources : Deutsche Bank Research, Haver Analytics

Figure 60: EM Asia CPI contribution



Source : Deutsche Bank Research, CEIC

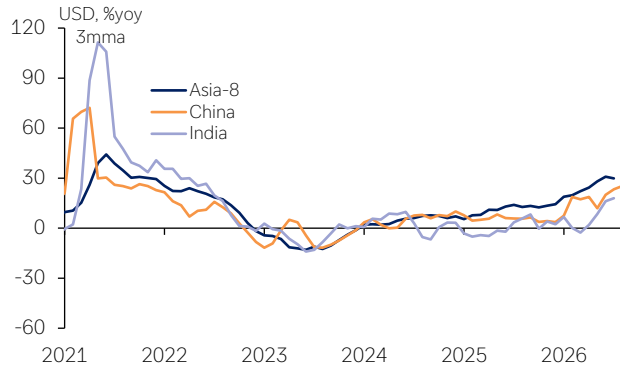
Figure 61: EM Asia CPI inflation



Source : Deutsche Bank Research

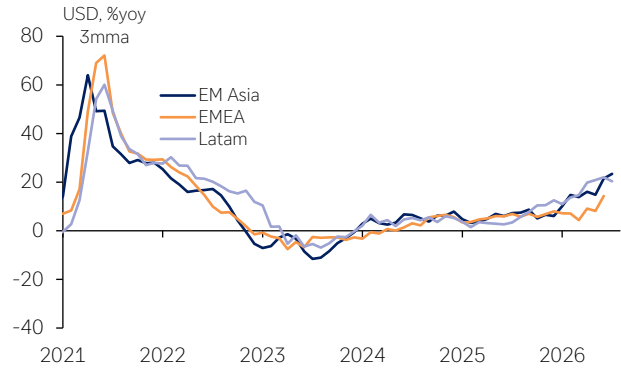


Figure 62: Export growth – EM Asia-8 vs. CH vs. IN



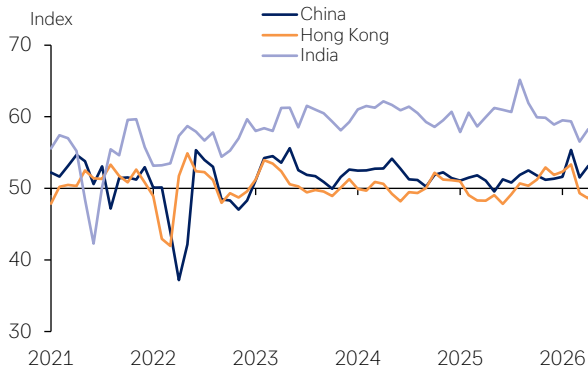
Sources: Deutsche Bank Research, Haver Analytics

Figure 63: Export growth – EM Asia vs. other EMs



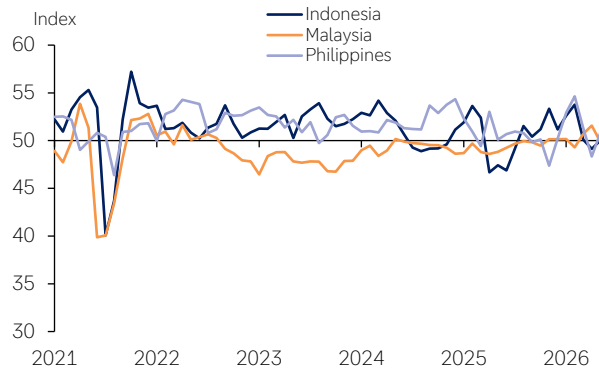
Sources: Deutsche Bank Research, Haver Analytics

Figure 64: Composite PMI – China, India, Hong Kong



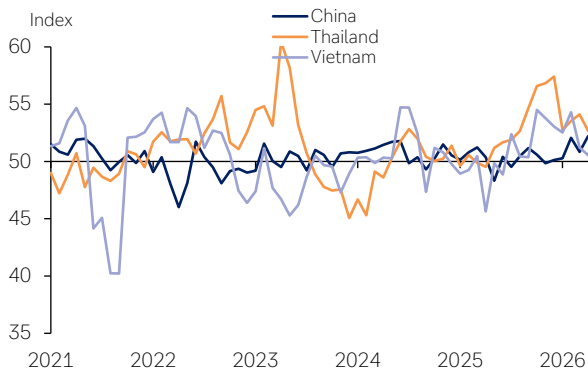
Sources: Deutsche Bank Research, Haver Analytics

Figure 65: Mfg PMI – Indonesia, Malaysia, Philippines



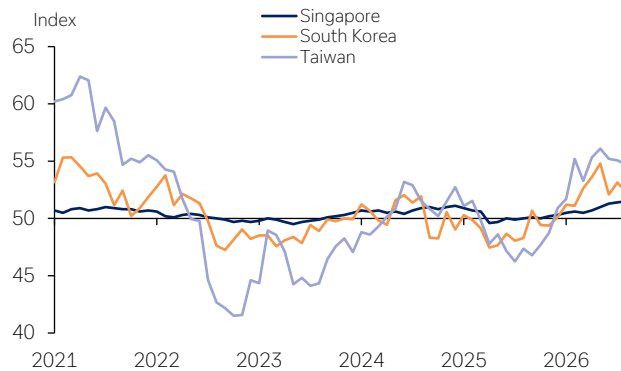
Sources: Deutsche Bank Research, Haver Analytics

Figure 66: Mfg PMI – China, Thailand, Vietnam



Sources: Deutsche Bank Research, Haver Analytics

Figure 67: Mfg PMI – Singapore, S Korea, Taiwan



Sources: Deutsche Bank Research, Haver Analytics



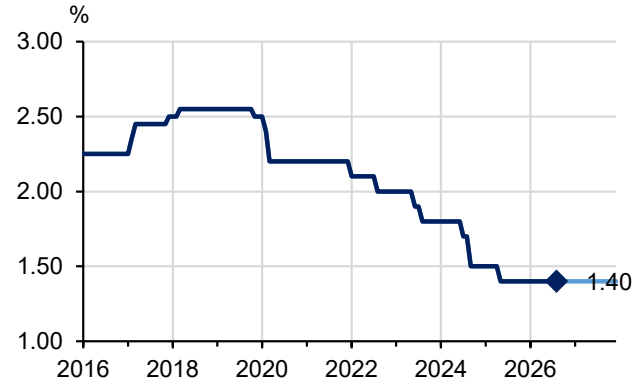
EM Asia Monetary Policy Monitor

Figure 68: China – Inflation (CPI)



Note – Next CPI release: 9 August

Figure 69: China – 7d OMO Rate



Note – Next policy meeting: N/A. Deutsche Bank Rate Call: No change in rates

Figure 70: Hong Kong – Inflation (CPI)



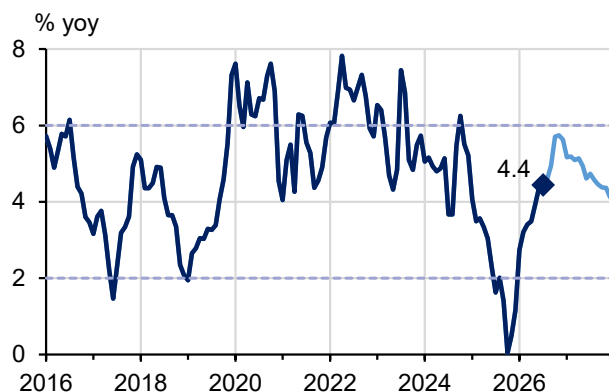
Note – Next CPI release: 21 July

Figure 71: Hong Kong – Base Rate



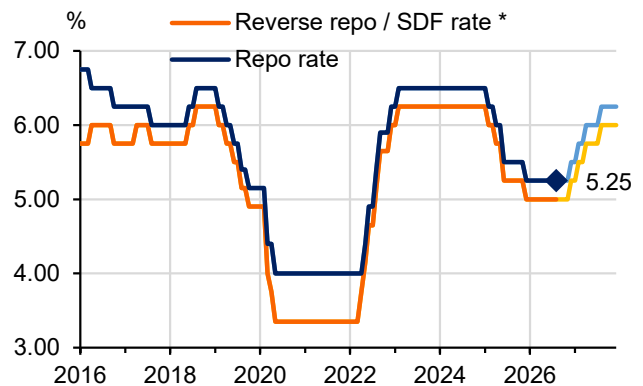
Note – Next policy meeting: N/A. Deutsche Bank Rate Call: No change in rates

Figure 72: India – Inflation (CPI)



Note – Next CPI release: 12 August

Figure 73: India – Repo Rate



Note – Next policy meeting: 5 August. Deutsche Bank Rate Call: No change in rates

Sources: Deutsche Bank Research, Haver Analytics, Bloomberg Finance LP

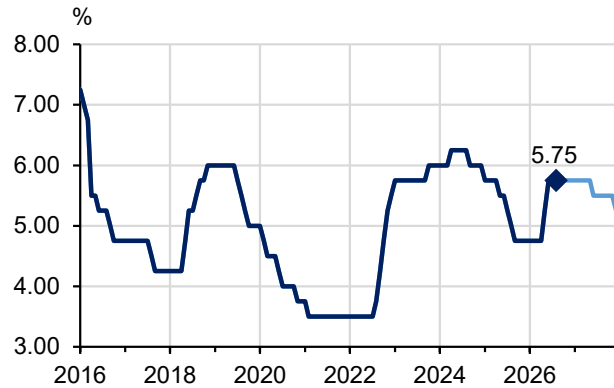


Figure 74: Indonesia – Inflation (CPI)



Note – Next CPI release: 3 August

Figure 75: Indonesia – Reverse Repo Rate



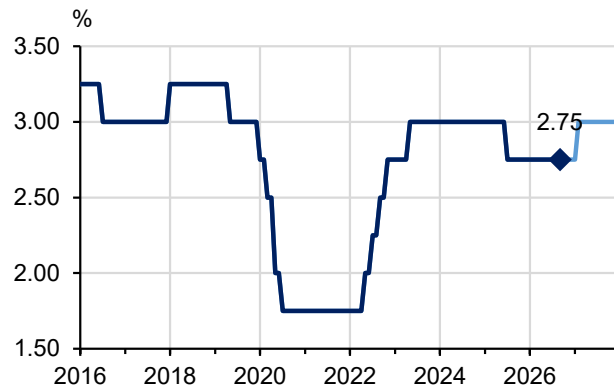
Note – Next policy meeting: 22 July. Deutsche Bank Rate Call: 25bp rate hike

Figure 76: Malaysia – Inflation (CPI)



Note – Next CPI release: 17 August

Figure 77: Malaysia – Overnight Policy Rate



Note – Next policy meeting: 3 September. Deutsche Bank Rate Call: No change in rates

Figure 78: Philippines – Inflation (CPI)



Note – Next CPI release: 5 August

Figure 79: Philippines – O/N Reverse Repo Rates

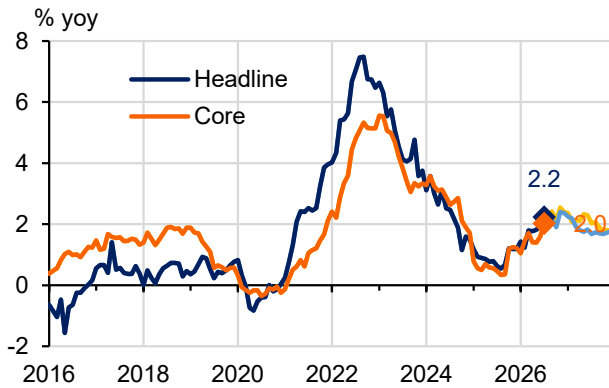


Note – Next policy meeting: 27 August. Deutsche Bank Rate Call: 25bp rate hike

Sources: Deutsche Bank Research, Haver Analytics, Bloomberg Finance LP

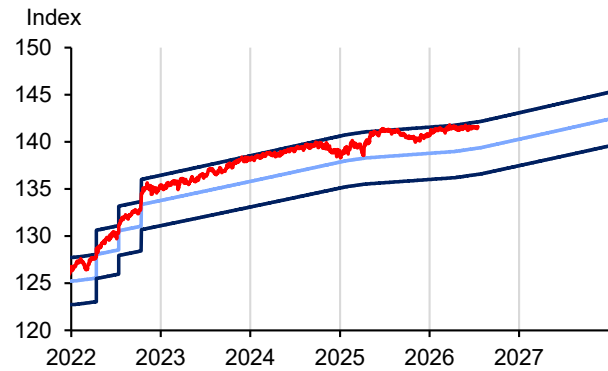


Figure 80: Singapore – Inflation (CPI)



Note – Next CPI release: 23 July

Figure 81: Singapore – S\$NEER (estimated)



Note – Next policy meeting: July 2026. Deutsche Bank forecast: Slope increase to 1.5% from 1.0%.

Figure 82: South Korea – Inflation (CPI)



Note – Next CPI release: 4 August

Figure 83: South Korea – Base Rate



Note – Next policy meeting: 27 August. Deutsche Bank Rate Call: No change in rates

Figure 84: Sri Lanka – Inflation (CPI)



Note – Next CPI release: 31 July

Figure 85: Sri Lanka – Overnight Policy Rate



Note – Next policy meeting: 22 July. Deutsche Bank Rate Call: No change in rates

Sources: Deutsche Bank Research, Haver Analytics, Bloomberg Finance LP

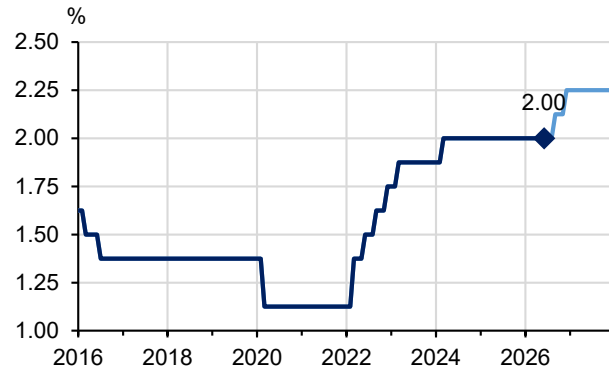


Figure 86: Taiwan – Inflation (CPI)



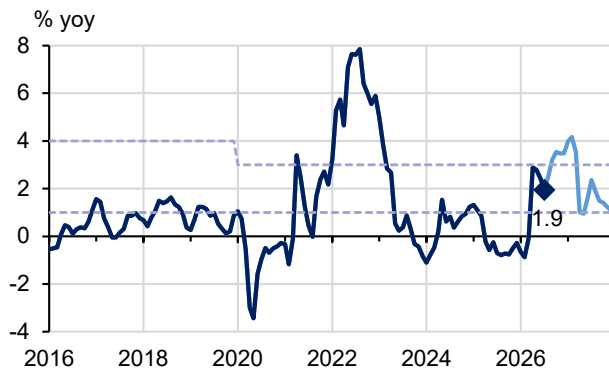
Note – Next CPI release: 6 August

Figure 87: Taiwan – Discount Rate



Note – Next policy meeting: 17 September. Deutsche Bank Rate Call: 12.5bp rate hike

Figure 88: Thailand – Inflation (CPI)



Note – Next CPI release: 6 August

Figure 89: Thailand – 1-day Repurchase Rate



Note – Next policy meeting: 26 August. Deutsche Bank Rate Call: No change in rates

Figure 90: Vietnam – Inflation (CPI)



Note – Next CPI release: 3 July

Figure 91: Vietnam – Refinancing Rate



Note – Next policy meeting: N/A. Deutsche Bank Rate Call: No change in rates

Sources: Deutsche Bank Research, Haver Analytics, Bloomberg Finance LP



Figure 92: Asia Economic Indicators

% YoY unless stated	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26
Policy rates (%)													
China (7d OMO)	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40
HKMA (base rate)	4.75	4.50	4.25	4.25	4.00	4.00	4.00	4.00	4.00	4.00	4.00	4.00	4.00
India (repo)	5.50	5.50	5.50	5.50	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.25	5.25
Indonesia (7d rev repo)	5.00	4.75	4.75	4.75	4.75	4.75	4.75	4.75	4.75	5.25	5.75	5.75	5.75
Malaysia (overnight)	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75
Philippines (rev repo)	5.00	5.00	4.75	4.75	4.50	4.50	4.25	4.25	4.50	4.50	4.75	4.75	5.00
Singapore													
South Korea (o/n call)	2.50	2.50	2.50	2.50	2.50	2.50	2.50	2.50	2.50	2.50	2.50	2.75	3.00
Sri Lanka (rev repo)	7.75	7.75	7.75	7.75	7.75	7.75	7.75	7.75	7.75	8.75	8.75	8.75	8.75
Taiwan (rediscount)	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00
Thailand (o/n repo)	1.50	1.50	1.50	1.50	1.25	1.25	1.00	1.00	1.00	1.00	1.00	1.00	1.00
Vietnam (refinancing)	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50
Consumer prices													
China	-0.4	-0.3	0.2	0.7	0.8	0.2	1.3	1.0	1.2	1.2	1.0	0.5	0.8
Hong Kong	1.1	1.1	1.2	1.2	1.5	1.2	1.7	1.7	1.8	2.0	1.9	1.7	2.1
India	2.0	1.4	0.0	0.5	1.2	2.7	3.2	3.4	3.5	3.9	4.4	4.4	4.6
Indonesia	2.3	2.7	2.9	2.7	2.9	3.5	4.8	3.5	2.4	3.1	3.3	2.9	3.2
Malaysia	1.3	1.5	1.3	1.4	1.6	1.6	1.4	1.7	1.9	2.0	1.9	1.8	1.9
Philippines	1.5	1.7	1.7	1.5	1.8	2.0	2.4	4.1	7.2	6.8	6.4	6.2	6.1
Singapore	0.5	0.7	1.2	1.2	1.2	1.4	1.2	1.8	1.8	1.8	1.9	2.2	2.2
South Korea	1.7	2.1	2.4	2.4	2.3	2.0	2.0	2.2	2.6	3.1	3.2	2.8	3.1
Sri Lanka	1.2	1.5	2.1	2.1	2.1	2.3	1.6	2.2	5.4	5.5	6.8	7.3	8.0
Taiwan	1.6	1.3	1.5	1.2	1.3	0.7	1.8	1.2	1.7	2.2	2.6	2.5	2.0
Thailand	-0.8	-0.7	-0.8	-0.5	-0.3	-0.7	-0.9	-0.1	2.9	2.8	2.4	1.9	2.5
Vietnam	3.2	3.4	3.2	3.6	3.5	2.5	3.3	4.7	5.5	5.6	4.7	4.5	4.9
Credit													
China (loans)	6.8	6.6	6.5	6.4	6.3	6.1	6.0	5.7	5.6	5.5	5.2	5.1	
Hong Kong	0.8	0.9	1.3	1.2	2.3	3.7	4.5	4.7	5.4	6.0	6.2	7.7	
India	12.9	13.2											
Indonesia	7.0	7.2	7.0	7.9	9.3	10.2	8.9	8.9	9.4	10.8	12.1	13.0	
Malaysia	5.4	5.5	5.4	5.2	4.8	4.7	4.9	5.4	5.6	5.7	5.5	5.6	
Philippines	9.9	9.2	10.7	11.5	11.7	9.6	9.4	10.4	12.1	11.9	11.9	10.6	
Singapore	6.3	6.8	6.5	6.6	6.1	6.1	6.3	6.6	7.9	8.7	9.1	10.0	
South Korea	4.8	4.9	4.8	5.1	4.7	4.8	4.8	5.4	4.3	5.6	6.3	5.5	
Sri Lanka	20.5	22.1	24.1	26.0	25.2	26.3	26.4	27.1	27.0	27.8	27.4		
Taiwan	6.8	6.2	6.0	5.9	6.0	6.1	7.1	7.6	8.0	9.1	9.4	10.3	
Thailand	0.4	-0.3	-2.0	-0.9	-0.9	-1.7	-2.0	-0.3	-0.3	0.7	-0.4	-0.3	
Vietnam													
Exports													
China	4.6	8.3	-0.9	5.6	5.1	8.0	36.0	-0.7	9.7	13.7	20.7	17.8	18.6
Hong Kong	14.5	16.1	17.5	18.8	26.1	33.8	24.7	35.8	42.9	40.8	53.4	50.7	
India	10.2	11.6	-7.9	24.7	7.1	5.6	3.3	-0.9	25.0	33.1	27.7	33.1	
Indonesia	5.7	11.4	-2.5	-6.8	11.4	3.5	1.1	-2.9	22.1	-5.6	8.8	6.0	
Malaysia (USD)	1.7	12.6	15.8	7.1	10.6	19.5	10.7	8.0	37.3	44.7	45.5	38.0	
Philippines	5.5	16.3	20.3	21.6	23.9	8.7	8.9	20.8	7.2	8.6	25.0	10.8	
Singapore (USD)	1.8	14.5	24.9	9.9	10.6	30.3	11.0	41.0	31.7	36.0	48.9	40.6	
South Korea	3.7	17.4	8.2	12.9	15.9	34.0	29.7	53.5	52.2	63.4	90.4	77.4	70.7
Sri Lanka	4.4	12.9	2.5	11.7	11.4	14.1	4.7	6.5	17.6	28.4	11.7	5.7	
Taiwan	22.8	28.3	42.4	48.6	38.5	59.2	14.4	55.3	32.9	54.5	44.2	41.0	49.1
Thailand	-5.2	12.5	1.5	5.0	9.5	12.9	0.3	9.7	19.0	6.7	19.3	21.5	
Vietnam	14.8	25.0	19.3	15.8	23.9	29.9	5.9	20.3	22.2	18.0	28.1	25.0	26.0

Sources: Haver Analytics, Deutsche Bank Research



Figure 93: Asia Economic Indicators (cont'd)

% YoY unless stated	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26
Retail sales													
China	3.4	3.0	2.9	1.3	0.9			1.7	0.2	-0.6	1.0	0.6	
Hong Kong	3.9	5.9	7.0	6.5	6.6	5.5	19.3	12.8	8.7	7.9	4.6	4.6	
India (veh. sales)	7.9	5.2	40.5	2.1	14.6	17.6	25.6	25.3	17.4	9.5	23.6	25.9	17.5
Indonesia	3.6	3.7	4.3	6.3	3.5	5.7	6.5	3.4	-3.7	-3.9	-3.0	1.2	0.4
Malaysia	5.0	7.0	6.8	6.4	6.9	6.1	7.7	7.5	6.3	7.2	6.6		
Philippines (veh. sales)	-7.6	-3.8	0.0	-8.7	2.0	-10.4	-8.5	-10.4	-16.2	-15.7	-8.4	-2.5	
Singapore (ex. veh)	4.9	1.3	3.1	4.3	1.8	-2.5	11.7	2.7	4.3	3.7	4.1	1.4	
South Korea	3.6	9.1	5.3	4.2	4.4	4.5	8.3	5.6	7.2	9.0	9.5	6.4	
Taiwan	-0.6	-2.0	1.4	1.4	0.6	-3.8	7.8	3.2	4.0	3.4	5.6	5.1	
Thailand	-5.8	49.1	66.0	15.5	47.0	90.5	30.2	21.1					
Vietnam	10.9	12.1	7.8	7.9	10.4	8.2	12.7	12.4	12.5	13.3			
Industrial production													
China	5.2	6.5	4.9	4.8	5.2			5.7	4.1	4.5	5.3	4.5	
Hong Kong		5.4			5.8			3.2					
India	4.7	6.1	-0.9	7.0	6.7	4.1	4.4	3.0	4.9	5.0	8.8	6.7	
Indonesia	2.1	3.1	1.2	3.1	7.3	2.5	2.5	1.2	9.7	0.9	1.7		
Malaysia	4.9	5.3	5.8	4.1	4.8	5.9	3.2	3.1	8.2	8.5	6.5	4.7	
Philippines	1.8	-0.3	1.5	-1.2	-0.4	-5.5	3.7	12.0	13.2	13.2	13.9	9.5	
Singapore	-4.9	6.0	15.0	8.2	10.9	9.5	7.2	6.3	13.7	17.8	7.5	6.8	
South Korea	2.2	14.4	-7.6		1.6	6.8	-2.3	3.8	1.3	-1.1	6.0	3.6	
Sri Lanka	7.9	4.7	4.9	5.7	4.5	4.4	4.2	3.0	1.6	1.5	0.8		
Taiwan	15.2	18.2	15.9	18.4	23.1	27.9	16.6	26.1	14.9	11.9	22.6	25.6	
Thailand	-3.7	1.6	0.5	-3.7	2.6	1.6	0.1	1.3	-0.9	-1.3	-2.4	0.5	
Vietnam	10.5	13.9	11.5	10.7	12.3	25.2	3.6	8.5	8.9	10.7	13.7	16.7	16.1
FX reserves (US\$ bn)													
China	3,643	3,689	3,707	3,724	3,744	3,836	3,883	3,751	3,822	3,851	3,786	3,792	3,855
Hong Kong	422	419	426	429	428	436	439	431	442	446	446	448	
India	695	700	690	688	688	712	728	691	691	686	669	693	741
Indonesia	151	149	150	150	156	155	152	148	146	145	146	145	147
Malaysia	123	124	124	124	126	127	128	127	130	131	133	132	132
Philippines	107	109	110	111	111	113	113	107	104	104	105	103	105
Singapore	391	393	392	400	409	417	416	420	427	430	426	428	433
South Korea	416	422	429	431	428	426	428	424	428	427	427	428	442
Sri Lanka	6.18	6.24	6.22	6.03	6.84	6.83	7.27	7.03	6.77	6.88	6.46	6.60	6.91
Taiwan	597	603	600	600	603	604	605	597	602	605	597	594	602
Thailand	267	273	272	275	282	290	294	280	287	287	279	275	283
Vietnam	83	84	82	83	86	85	86	85	85	85	88		
Real GDP													
China		4.8			4.5			5.0			4.3		
Hong Kong		3.8			4.0			5.9			4.3		
India		8.1			7.7			8.6			7.8		
Indonesia		5.0			5.4			5.6			5.3		
Malaysia		5.3			6.2			5.4			6.0		
Philippines		4.0			3.0			2.8			2.3		
Singapore		4.5			5.7			6.3			5.9		
South Korea		2.1			1.6			3.8			3.7		
Sri Lanka		5.3			4.8			5.1					
Taiwan		8.4			13.0			15.4			12.9		
Thailand		1.2			2.5			2.8			1.9		
Vietnam		8.3			8.5			7.9			8.4		

Sources: Haver Analytics, Deutsche Bank Research



Appendix 1

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Group Chief Economist and Global Head of Research

Pam Finelli
COO and Head of Fixed
Income Research

Steve Pollard
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Global Head of Macro and
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Head of APAC & Middle
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Deutsche Bank AG

Deutsche Bank Place
Level 16
Corner of Hunter & Phillip
Streets
Sydney, NSW 2000
Australia
Tel: (61) 2 8258 1234

Deutsche Bank AG

Equity Research
Mainzer Landstrasse 11-17
60329 Frankfurt am Main
Germany
Tel: (49) 69 910 00

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Tel: (852) 2203 8888

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1-3-1 Azabudai
Azabudai Hills Mori JP Tower
Minato-ku, Tokyo 106-0041
Japan
Tel: (81) 3 6730 1000

Deutsche Bank AG

21 Moorfields
London EC2Y 9DB
United Kingdom
Tel: (44) 20 7545 8000

Deutsche Bank Securities Inc.

The Deutsche Bank Center
1 Columbus Circle
New York, NY 10019
Tel: (1) 212 250 2500

Deutsche Bank AG

Filiale Singapur
One Raffles Quay, South
Tower,
Singapore 048583
Tel: +65 6423 8001
